LIVESTOCK FEEDS PLC

(a subsidiary of uac of nigeria plc)

1. Henry Carr Street,
P.M.B 21097, Ikeja, Lagos State, Nigeria
E-mail: info@livestockfeedsplc.com
Website:www.livestockfeedsplc.com
Regd. Number - RC. 3315

BRANCHES:

IKEJA MILL
I, Henry Carr Street,
P.M.B. 21097, Ikeja.
Lagos State

ABA MILL
12, Industrial Layout
P.M.B. 7119, Aba
Abia State

NORTHERN OPERATIONS
77, Gunduwawa Industrial Area,
Off Hadejia Road,
Tokorawa,
Kano State

AUDITED FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2025

Content

Corporate Information

Directors:

Mr. Joseph Dada	Nigerian	Chairman
Mr. Adegboyega Adedeji	Nigerian	Managing Director
Mrs Temitope Omodele	Nigerian	Non Executive Director
Mr. Abayomi Adeyemi	Nigerian	Non Executive Director (Independent)
Mr. Adebolanle Badejo	Nigerian	Non Executive Director
Mrs. Chiamaka Uwaegbute	Nigerian	Non Executive Director

Secretary: Mrs. Rose Hamis Joshua

Registered office: 1 Henry Carr Street
P.M.B 21097
Ikeja, Lagos, Nigeria.
Email: Info@livestockfeedsplc.com

Registration number: RC3315

Registrars: Cardinal Stone Registrars Limited
358, Herbert Macaulay Way
Yaba, Lagos.

Principal bankers: Access Bank Plc
First Bank of Nigeria Ltd
First City Monument Bank Plc
Guaranty Trust Bank Plc
Stanbic IBTC Bank Plc
Union Bank of Nigeria Plc
Zenith Bank Plc

Independent auditors: KPMG Professional Services
KPMG Tower, Bishop Aboyade Cole St,
Victoria Island, Lagos
Nigeria.

Tax Identification Number: 00683481-0001

Directors' Report

For the year ended 31 December 2025

The Directors present their annual report on the affairs of Livestock Feeds Plc (**"LSF" or "the Company**) together with the audited financial statements and independent auditor's report for the year ended 31 December 2025.

Legal form

Livestock Feeds Plc was incorporated on 20 March 1963 under the Companies and Allied Matters Act (CAMA), 2020 as a public limited liability Company, and is domiciled in Nigeria.

The Company was quoted on the Nigerian Stock Exchange in 1978. The registered office of the Company is located at 1, Henry Carr Street, Ikeja, Lagos.

Principal activity

The Company is engaged principally in the manufacturing and marketing of animal feeds and concentrates.

Directors

The Directors who held office during the year and to the date of this report were:

Mr. Joseph Dada	Nigerian	Chairman
Mr. Adegboyega Adedeji	Nigerian	Managing Director
Mrs Temitope Omodele	Nigerian	Non Executive Director
Mr. Abayomi Adeyemi	Nigerian	Non Executive Director (Independent)
Mr. Adebolanle Badejo	Nigerian	Non Executive Director
Mrs. Chiamaka Uwaegbute	Nigerian	Non Executive Director

Result for the year

A summary of the Company's results for the year is shown below:

	2025 **₦'000**	**2024** **₦'000**
Revenue	37,764,577	41,669,570
Gross profit	2,325,162	6,426,751
(Loss)/profit before minimum taxation	(2,752,805)	2,847,352
Minimum tax expense	(189,974)	-
(Loss)/profit after minimum taxation	**(2,942,779)**	**2,847,352**
Income tax expense	(54,183)	(912,921)
(Loss)/profit for the year	**(2,996,962)**	**1,934,431**

Dividend

The directors do not recommend the payment of any dividend in respect of the year ended 31 December 2025 (2024: Nil).

Directors' interest in contracts

None of the Directors has notified the Company for the purpose of the Companies and Allied Matters Act (CAMA), 2020 of their direct or indirect interest in contracts or proposed contracts with the Company during the year.

Directors' Report
For the year ended 31 December 2025

Substantial interests in shares
According to the Registrar of members, the following shareholders of the Company held more than 5% of the issued share capital of the Company as at 31 December 2025.

	2025		2024	
Shareholder	**Number of shares**	**above 5%**	**Number of shares**	**above 5%**
UAC of Nigeria Plc	2,198,745,772	73.29	2,198,745,772	73.29

Directors' interest in shares of the Company
None of the directors have interest in the Company's shares as at 31 December 2025 (2024:Nil).

Analysis of shareholding
According to the register of members, the below is the analysis of shareholders of the Company as at 31 December 2025 and 2024.

2025	**Holders**	**Holdings**	**% Holdings**	**Nominal value of shares (₦)**
Other corporate entities	715	2,352,524,529	78.42	1,176,262,264
Other Managed funds	24	8,890,923	0.30	4,445,462
Local Government	1	335,050	0.01	167,525
Individuals	25,104	634,427,660	21.14	317,213,830
Foreign shareholders	68	3,821,140	0.13	1,910,570
Insurance Companies	1	116	0.00	58
Total	**25,913**	**2,999,999,418**	**100**	**1,499,999,709**

2024	**Holders**	**Holdings**	**% Holdings**	**Nominal value of shares (₦)**
Other corporate entities	680	2,333,413,149	77.78	1,166,706,574
Other Managed funds	26	8,413,341	0.28	4,206,671
Local Government	1	335,050	0.01	167,525
Individuals	20,123	653,768,504	21.79	326,884,252
Foreign shareholders	69	4,069,258	0.14	2,034,629
Insurance Companies	1	116	0.00	58
Total	**20,900**	**2,999,999,418**	**100**	**1,499,999,709**

Below is the range analysis as at 31 December 2025

Number of Holders	**Holders**	**% of Holders**	**Holdings**	**% Holdings**
1 - 1000	8,121	31.34	3,378,203	0.11
1001 - 10000	10,402	40.14	50,625,618	1.69
10001 - 50000	5,275	20.36	126,402,655	4.21
50001 - 100000	1,076	4.15	82,487,796	2.75
100001 - 500000	803	3.09	164,737,930	5.49
500001 - 1000000	130	0.50	93,009,463	3.10
1000001 - 5000000	95	0.37	184,287,884	6.14
5000001 - 10000000	7	0.03	49,398,392	1.65
10000001 - 2999999418	4	0.02	2,245,671,477	74.86
	25,913	**100**	**2,999,999,418**	**100**

Directors' Report
For the year ended 31 December 2025

Analysis of shareholding - continued
Below is the range analysis as at 31 December 2024

Number of Holders	Holders	% of Holders	Holdings	% Holdings
1 - 1000	5,262	25.18	2,219,083	0.07
1001 - 10000	8,923	42.69	44,043,216	1.47
10001 - 50000	4,760	22.78	112,162,908	3.74
50001 - 100000	978	4.67	74,835,920	2.49
100001 - 500000	731	3.50	165,852,158	5.53
500001 - 1000000	108	0.52	88,413,501	2.95
1000001 - 5000000	130	0.62	236,332,948	7.88
5000001 - 10000000	6	0.03	65,785,884	2.19
10000001 - 2999999418	2	0.01	2,210,353,800	73.68
	20,900	**100**	**2,999,999,418**	**100**

Property, Plant and Equipment (PPE)
Information relating to movement in property, plant and equipment is shown in Note 16(a) to the financial statements.

Employment of physically challenged persons
The Company has a policy of fair consideration of job applications by disabled persons having regard to their abilities and aptitude. The Company's policy prohibits discrimination against disabled persons in the recruitment, training and career development of its employees. In the event of members of staff becoming disabled, every effort is made to ensure that their employment with the Company continues and that appropriate training is arranged.

Health, safety and welfare at work
The Company maintains business premises and work environments that guarantee the safety and health of its employees and other stakeholders. The Company's rules and practices in these regards are reviewed and tested regularly. Also, the Company provides free medical insurance for its employees and their families through selected health management organizations and hospitals.

Employee consultation and training
The directors maintain regular communication and consultation with the employees on matters affecting employees and the Company.

Employees are kept fully informed regarding the Company's performance and the Company operates an open door policy whereby views of employees are sought and given due consideration on matters which particularly affect them.

Training is carried out at various levels through in-house and external courses. The Company's skill base has been extended by a range of training provided to the employees whose opportunity for career development within the Company has been enhanced.

Corporate governance report
Livestock Feeds Plc is a Company of integrity and high ethical standards. Our reputation for honest, open and dependable business conduct, built over the years, is an asset, as are our people and brand. We conduct our business in full compliance with the laws and regulations of Nigeria and UAC Code of Business Conduct.

Directors' Report
For the year ended 31 December 2025

Donations

The Company made a donation of ₦5.8 million during the year (2024:₦4.3 million) In compliance with Section 43(2) of the Companies and Allied Matters Act (CAMA), 2020 the Company did not make any donations of gifts to any political parties, political association, or for any political purpose during the year.

Breakdown of Donations	**2025** **₦'000**	**2024** **₦'000**
1. Nigerian-British Chamber of Commerce	1,000	-
2. Eggsperience Health Project - Oagh Lagos	1,635	-
3. Eggsperience Health Project - Sir Muhammadu Sunusi Specialist hospital, Kano	1,087	-
4. Eggsperience Health Project - Aba South Health Care Centre Abia state	312	-
5. ASAN/NIAS Annual Conference 2025- Abuja*	1,000	-
6. NANNM, Plateau State Specialist Hospital**	300	-
7. Donation for repairing and painting Henry Carr Gate	-	1,956
8. Donation of Eggs to Orile Agege General Hospital	-	1,084
9. Back to school outreach - Orile Agege	500	450
10. Student research- Olabisi Onabanjo University	-	844
Total	**5,834**	**4,334**

*Animal Science Association of Nigeria/ Nigeria Institute of Animal Science
**National Association of Nigerian Nurses and Midwives

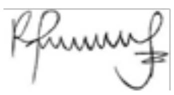
Events after the reporting period

There were no significant developments since the balance sheet date which could have had a material effect on the state of the Company at 31 December 2025 and the profit for the year ended on that date which have not been adequately provided for or disclosed in the financial statements.

Independent Auditor

Messrs. KPMG Professional Services having satisfied the relevant corporate governance rules on their tenure in office have indicated their willingness to continue in office as auditors of the Company. In accordance with section 401(2) of the Companies and Allied Matters Act, 2020 therefore, the auditors will be re-appointed at the next annual general meeting of the Company without any resolution being passed.

By order of the Board



Mrs. Rose Hamis Joshua
Company Secretary
FRC/2013/PRO/NBA/004/00000002356
17 March 2026

Statement of Directors' Responsibilities in relation to the Financial Statements

For the year ended 31 December 2025

The Directors accept responsibility for the preparation of the financial statements that give a true and fair view in accordance with the IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and in the manner required by the Companies and Allied Matters Act (CAMA), 2020 and the Financial Reporting Council of Nigeria Act, 2011 (as amended).

The Directors further accept responsibility for maintaining adequate accounting records as required by the Companies and Allied Matters Act (CAMA), 2020 and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement whether due to fraud or error.

The Directors have made an assessment of the Company's ability to continue as a going concern and have no reason to believe the Company will not remain a going concern in the year ahead.

Signed on behalf of the Board of Directors by:

Chairman	**Managing Director**
Dr. Joseph Dada	**Mr. Adegboyega Adedeji**
FRC/2016/PRO/DIR/003/00000014735	**FRC/2020/PRO/DIR/003/00000021439**
17 March 2026	**17 March 2026**

Statement of Corporate Responsibility
For the year ended 31 December 2025

Further to the provisions of Section 405 of the Companies and Allied Matters Act (CAMA) 2020, we, the Managing Director/CEO and Chief Financial Officer, hereby certify the financial statements of Livestock Feeds Plc for the year ended 31 December 2025 as follows:

a) That we have reviewed the audited financial statements of the Company for the year ended 31 December 2025.

b) That the audited financial statements do not contain any untrue statement of material fact or omit to state a material fact which would make the statements misleading, in the light of the circumstances under which such statement was made.

c) That the audited financial statements and all other financial information included in the statements fairly present, in all material respects, the financial condition and results of operation of the Company as of and for the year ended 31 December 2025.

d) That we are responsible for establishing and maintaining internal controls and have designed such internal controls to ensure that material information relating to the Company is made known to us by other officers of the Company, during the year end 31 December 2025.

e) That we have evaluated the effectiveness of the Company's internal controls within 90 days prior to the date of audited financial statements, and certify that the Company's internal controls are effective as of that date.

f) That we have disclosed the following information to the Company's Auditors:

(i) there are no significant deficiencies in the design or operation of internal controls which could adversely affect the Company's ability to record, process, summarise and report financial data.

(ii) there is no fraud that involves management or the other employees who have a significant role in the Company's internal control.

Signed on behalf of the Board of Directors by:

Managing Director	**Chief Financial Officer**
Mr. Adegboyega Adedeji	**Mr. Adekunle Adepoju**
FRC/2020/PRO/DIR/003/00000021439	**FRC/2013/PRO/ICAN/001/00000004478**
17 March 2026	**17 March 2026**

Report of the Audit Committee
For the year ended 31 December 2025

Report of the Audit Committee to the Shareholders of Livestock Feeds Plc

"In compliance with the Companies and Allied Matters Act 2020, Laws of the Federation of Nigeria, We have reviewed the audited Financial Statements of the Company for the year ended 31 December 2025 and report as follows:

(a) The accounting and reporting policies of the Company are consistent with legal requirements and agreed ethical practices.

(b) The scope and planning of the external audit for the year ended 31 December, 2025 were, in our opinion adequate.

(c) We reviewed the findings and recommendations in the Internal auditor's Report and the External Auditor's Management Control Report and we were satisfied with the management responses thereto.

(d) The Company maintained effective systems of accounting and internal control system during the year in review.

We have deliberated with the External Auditors, who confirmed that all necessary cooperation was received from management and that they had issued a clean report in respect of the financial statements for the year ended 31 December 2025.

Aare Kamorudeen Ajao Danjuma
FRC/2019/IODN/00000019526
Chairman – Audit Committee

Dated 17 March 2026

Members of the Audit Committee:

Aare Kamorudeen Ajao Danjuma	Chairman
Prince Manfred Bassey	Member
Mr. Olufemi Fredrick Oduyemi	Member
Mr. Abayomi Adeyemi	Member
Mrs. Chiamaka Uwaegbute	Member

Livestock Feeds Plc, year ended 31 December 2025

Certification of Management's Assessment of Internal Control over Financial Reporting - Managing Director

I, Adedeji Adeboyega, certify that:

a) I have reviewed the Report on the Effectiveness of Internal Control over Financial Reporting as of 31 December 2025 of Livestock Feeds Plc ("the Company");

b) Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;

c) Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the entity as of, and for, the periods presented in this report;

d) The Company's other certifying officer and I:

   1) are responsible for establishing and maintaining internal controls;

   2) have designed such internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the Company, particularly during the period in which this report is being prepared;

   3) have designed such internal control system, or caused such internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with IFRS Accounting Standards;

   4) have evaluated the effectiveness of the Company's internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of 31 December 2025 covered by this report based on such evaluation.

e) The Company's other certifying officer and I have disclosed, based on our most recent evaluation of internal control system, to the Company's auditors and the audit committee:

   1) That there are no significant deficiencies or material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the Company's ability to record, process, summarize and report financial information; and

   2) That there is no fraud, whether or not material, that involves management or other employees who have a significant role in the Company's internal control system.

f) The Company's other certifying officer and I have identified, in the report whether or not there were significant changes in internal controls or other facts that could significantly affect internal controls subsequent to the date of our evaluation.

Managing Director
Mr. Adedeji Adegboyega
FRC/2020/PRO/DIR/003/00000021439
17 March 2026

Livestock Feeds Plc, year ended 31 December 2025

Certification of Management's Assessment of Internal Control over Financial Reporting - Chief Financial Officer

I, Adekunle Adepoju, certify that:

a) I have reviewed the Report on the Effectiveness of Internal Control over Financial Reporting as of 31 December 2025 of Livestock Feeds Plc ("the Company");

b) Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;

c) Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the entity as of, and for, the periods presented in this report;

d) The Company's other certifying officer and I:

   1) are responsible for establishing and maintaining internal controls;

   2) have designed such internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the Company, particularly during the period in which this report is being prepared;

   3) have designed such internal control system, or caused such internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with IFRS Accounting Standards;

   4) have evaluated the effectiveness of the Company's internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of 31 December 2025 covered by this report based on such evaluation.

e) The Company's other certifying officer and I have disclosed, based on our most recent evaluation of internal control system, to the Company's auditors and the audit committee:

   1) That there are no significant deficiencies or material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the Company's ability to record, process, summarize and report financial information; and

   2) That there is no fraud, whether or not material, that involves management or other employees who have a significant role in the Company's internal control system.

f) The Company's other certifying officer and I have identified, in the report whether or not there were significant changes in internal controls or other facts that could significantly affect internal controls subsequent to the date of their evaluation.

Chief Financial Officer
Mr. Adekunle Adepoju
FRC/2013/PRO/ICAN/001/00000004478
17 March 2026

Livestock Feeds Plc, year ended 31 December 2025

Management's Report on the Effectiveness of Internal Control over Financial Reporting as of 31 December 2025

The management of Livestock Feeds Plc (“the Company”) is responsible for establishing and maintaining adequate internal control over financial reporting as required by the Investment and Securities Act 2025 and the Financial Reporting Council of Nigeria Act, 2011 (as amended).

The management of Livestock Feeds Plc assessed the effectiveness of the internal control over financial reporting of the Company as of 31 December 2025 using the criteria set forth in Internal Control—Integrated Framework (2013 issued by the Committee of Sponsoring Organizations of the Treadway Commission (“the COSO Framework”) and in accordance with the SEC Guidance on Implementation of Internal Control over Financial Reporting.

As of 31 December 2025, the management of Livestock Feeds Plc did not identify any material weakness in its assessment of internal control over financial reporting.

As a result, management has concluded that, as of 31 December 2025, the Company’s internal control over financial reporting was effective.

The Company’s independent auditor, KPMG Professional Services, who audited the financial statements included in this Annual Report, issued an unmodified conclusion on the effectiveness of the Company’s internal control over financial reporting as of 31 December 2025, based on the limited assurance engagement performed by them. KPMG Professional Services’ limited assurance report is included in the Annual Report.

Changes in Internal Control Over Financial Reporting

There were no changes in our internal control over financial reporting that occurred subsequent to the date of our evaluation of the effectiveness of internal control over financial reporting that significantly affected, or are reasonably likely to significantly affect, the Company’s internal control over financial reporting.

Managing Director	**Chief Financial Officer**
Mr. Adedeji Adegboyega	**Mr. Adekunle Adepoju**
FRC/2020/PRO/DIR/003/00000021439	**FRC/2013/PRO/ICAN/001/00000004478**
17 March 2026	**17 March 2026**

KPMG Professional Services
KPMG Tower
Bishop Aboyade Cole Street
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PMG 40014, Falomo
Lagos

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Independent Auditor's Limited Assurance Report

To the Shareholders of Livestock Feeds Plc

Report on Limited Assurance Engagement Performed on Management's Assessment of Internal Control Over Financial Reporting

Conclusion
We have performed a limited assurance engagement on whether internal control over financial reporting of Livestock Feeds Plc ("the Company") as of 31 December 2025 is effective in accordance with the criteria established in Internal Control - Integrated Framework (2013) issued by the Committee of Sponsoring Organizations of the Treadway Commission ("the COSO Framework") and the Securities and Exchange Commission Guidance on Implementation of Internal Control over Financial Reporting.

Based on the procedures performed and evidence obtained, nothing has come to our attention to cause us to believe that Livestock Feeds Plc's internal control over financial reporting as of 31 December 2025 is not effective, in all material respects, in accordance with the criteria established in the COSO Framework and the Securities and Exchange Commission Guidance on Implementation of Internal Control over Financial Reporting.

Basis for conclusion
We conducted our engagement in accordance with International Standard on Assurance Engagements (ISAE) 3000 (Revised), *Assurance Engagements Other Than Audits or Reviews of Historical Financial Information* issued by the International Auditing and Assurance Standards Board (IAASB) and the Financial Reporting Council of Nigeria Guidance on Assurance Engagement Report on Internal Control over Financial Reporting.

Our responsibilities are further described in the "Our responsibilities" section of our report.

We have complied with the independence and other ethical requirements of the International Code of Ethics for Professional Accountants *(including International Independence Standards)* issued by the International Ethics Standards Board for Accountants (IESBA).

Our firm applies International Standard on Quality Management (ISQM) 1, *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements*, issued by the IAASB. This standard requires the firm to design, implement and operate a system of quality management, including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion.

Other matter
We have audited the financial statements of Livestock Feeds Plc in accordance with the International Standards on Auditing, and our report dated 25 March 2026 expressed an unmodified opinion of those financial statements.

Our conclusion is not modified in respect of this matter.

Responsibilities for Internal Control over Financial reporting
The Board of Directors of Livestock Feeds Plc is responsible for maintaining effective internal control over financial reporting, and for its assessment of the effectiveness of internal control over financial reporting, included in the accompanying Management's Report on the Effectiveness of Internal Control over Financial Reporting. Our responsibility is to express a conclusion on the Company's internal control over financial reporting based on our assurance engagement.

Our responsibilities
The Financial Reporting Council of Nigeria Guidance on Assurance Engagement Report on Internal Control over Financial Reporting ("the Guidance") requires that we plan and perform the assurance engagement and provide a limited assurance report on the Company's internal control over financial reporting based on our assurance engagement.

Summary of the work we performed as the basis for our conclusion
We exercised professional judgment and maintained professional skepticism throughout the engagement. As prescribed in the Guidance, the procedures we performed included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. Our engagement also included performing such other procedures as we considered necessary in the circumstances. We believe the procedures performed provide a basis for our report on the internal control put in place by management over financial reporting.

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Definition and Limitations of Internal Control Over Financial reporting
A company's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal control over financial reporting includes those policies and procedures that:

i. pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;
ii. provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and
iii. provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect all misstatements. Furthermore, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Signed:

Omolara O. Ogun, FCA
FRC/2012/PRO/ICAN/004/00000000412
For: KPMG Professional Services
Chartered Accountants
25 March 2026
Lagos, Nigeria

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Independent Auditor's Report

To the Shareholders of **Livestock Feeds Plc**

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Livestock Feeds Plc (the Company) , which comprise:

- the Statement of Financial Position as at 31 December 2025;
- the Statement of Profit or Loss and Other Comprehensive Income;
- the Statement of Changes in Equity; and
- the Statement of Cash Flows for the year then ended, and
- the Notes to the Financial Statements, comprising a summary of material accounting policies and other explanatory information.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 December 2025, and of its financial performance and cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and in the manner required by the Companies and Allied Matters Act (CAMA), 2020 and the Financial Reporting Council of Nigeria Act, 2011 (as amended).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* (IESBA Code), as applicable to audits of the financial statements of public interest entities, together with the ethical requirements that are relevant to audits of the financial statements of public interest entities in Nigeria. We have also fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matter

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, we do not provide a separate opinion on these matters.

Recoverability of Deferred tax assets Refer to material accounting policies (Note 2(d) and 4(d)) and related Taxation disclosures (Note 14(v)) of the financial statements.	
Key audit matter	**How the matter was addressed in our audit**

The Company recorded a loss before tax of ₦2.75 billion for the year ended 31 December 2025, resulting in unutilised tax losses and unabsorbed capital allowances.
 	
These temporary differences give rise to a potential deferred tax asset of ₦826.04 million, which was not recognised as at 31 December 2025.
 	
The assessment of recoverability of deferred tax assets requires management to estimate the Company's future taxable profits and determine whether utilisation of the losses and allowances is probable within the allowable period. This involves significant management judgement, including:
 	
• forecasting future profitability using key assumptions such as projected revenue growth, cost trends and margin expectations, and
 	
• evaluating the expected reversal of temporary differences.
 	
Given the level of judgement, estimation uncertainty and the amount involved, the recoverability of Deferred tax assets was considered to be a key audit matter.
	Our procedures included the following:
	
	• Obtained and evaluated management's forecasts of future taxable profits, including assessing the underlying assumptions supporting recoverability of deferred tax assets. This was performed by assessing the reasonableness of key assumptions against historical performance, approved budgets, and relevant market conditions. We also tested the accuracy of the forecast model and performed sensitivity analyses on significant inputs.
	
	• Challenged key assumptions such as projected revenue growth, cost trends and margin expectations by:
	
	  ○ comparing assumptions to historical performance;
	
	  ○ considering industry outlook and market conditions; and
	
	  ○ leveraging our knowledge of the business obtained during the audit.
	
	• Assessed the reasonability of prior period forecasts to evaluate management's forecasting reliability by comparing previously forecasted results to actual outcomes, analysing variances, and discussing significant differences with management to understand the causes and whether these were appropriately reflected in current-period assumptions.
	
	• Assessed management's analysis supporting the non-recognition of deferred tax assets and determined its reasonability by considering the Company's recent profitability trends and assessing whether management's projections demonstrated a reasonable expectation of generating future taxable profits.
	
	• We evaluated the expected reversal of temporary differences by assessing the underlying assets and liabilities, evaluating the consistency of expected timings with the nature of the underlying items and tax rules, and testing the mathematical accuracy of

Recoverability of Deferred tax assets Refer to material accounting policies (Note 2(d) and 4(d)) and related Taxation disclosures (Note 14(v)) of the financial statements.	
Key audit matter	**How the matter was addressed in our audit**
	the schedules prepared by management. • Evaluated the adequacy, completeness and accuracy of disclosures for compliance with the requirements of IAS 12, *Income Taxes*, particularly the disclosures relating to unrecognised deferred tax assets.

Other information

The directors are responsible for the other information. The other information comprises the Corporate Information, Directors' Report, Statement of Directors' Responsibilities in relation to the Financial Statements, Statement of Corporate Responsibility, Report of the Audit Committee, Certification of Management's Assessment of Internal Control over Financial reporting - Chief Financial Officer, Certification of Management's Assessment of Internal Control over Financial reporting – Managing Director, Management's Report on the Effectiveness of Internal Control over Financial Reporting, Free Float Computation, Value added statement and Five Year Financial Summary but does not include the financial statements and our auditor's report thereon, which we obtained prior to the date of this auditor's report, and the Notice of Annual General Meeting, Chairman's Statement, Sustainability Report, Company Activities, Mandate for e-dividend payment, Unclaimed dividend, Full Dematerialization form for migration, Proxy and admission form, together the "outstanding reports", which is expected to be made available to us after that date.

Our opinion on the financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we have obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the outstanding reports, if we conclude that there is a material misstatement therein, we are required to communicate the matter to the Audit Committee.

Responsibilities of the directors for the financial statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and in the manner required by the Companies and Allied Matters Act (CAMA), 2020 and the Financial Reporting Council of Nigeria Act, 2011 (as amended), and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company’s ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the Audit Committee regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
We also provide the Audit Committee with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the Audit Committee, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements
Compliance with the requirements of Schedule 5 of the Companies and Allied Matters Act (CAMA), 2020

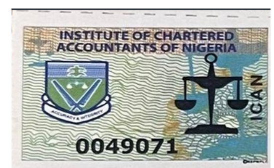
i. We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit.
ii. In our opinion, proper books of account have been kept by the Company, so far as appears from our examination of those books.
iii. The Company statement of financial position and statement of profit or loss and other comprehensive income are in agreement with the books of account.

Compliance with FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting

In accordance with the requirements of the Financial Reporting Council of Nigeria, we performed a limited assurance engagement and reported on management's assessment of the Company's internal control over financial reporting as of 31 December 2025. The work performed was done in accordance with ISAE 3000 (Revised) *Assurance Engagements Other Than Audits or Reviews of Historical Financial Information* and the FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting. We have issued an unmodified opinion in our report dated 25 March 2026. That report is included in the Annual Report.

Signed:

Omolara O. Ogun, FCA
FRC/2012/PRO/ICAN/004/00000000412
For: KPMG Professional Services
Chartered Accountants
25 March 2026
Lagos, Nigeria



Statement of Profit or Loss and Other Comprehensive Income

For the Period ended 31 December 2025

		Dec-25	Dec-24
		₦'000	₦'000
Revenue	5	37,764,577	41,669,570
Cost of sales	8(i)	(35,439,415)	(35,242,819)
Gross profit		**2,325,162**	**6,426,751**
Other operating income	9	115,595	449,555
Selling and distribution expenses	8(ii)	(397,679)	(376,305)
Administrative expenses	8(iii)	(1,605,552)	(1,795,303)
Impairment loss on trade receivables	19	(63,616)	-
Operating profit		**373,910**	**4,704,698**
Finance income	10	114,569	173,089
Finance costs	11	(3,241,284)	(2,030,435)
Net finance cost		**(3,126,715)**	**(1,857,346)**
(Loss)/Profit before minimum tax		**(2,752,805)**	**2,847,352**
Minimum tax expense	14(iv)	(189,974)	-
(Loss)/profit before taxation		**(2,942,779)**	**2,847,352**
Income tax expense	14(i)	(54,183)	(912,921)
(Loss)/profit for the year		**(2,996,962)**	**1,934,431**
Other comprehensive income		**-**	**-**
Total comprehensive (loss)/income for the year		**(2,996,962)**	**1,934,431**
Earnings per share (kobo)			
Basic earnings for the year attributable to ordinary equity holders	15	(99.90)	64.48
Diluted earnings for the year attributable to ordinary equity holders	15	(99.90)	64.48

The accompanying notes form an integral part of these financial statements.

Statement of Financial Position

As at 31 December 2025

		2025	2024
Assets		**₦'000**	**₦'000**
Non-current assets			
Property, plant and equipment	16(a)	1,858,321	1,743,712
Intangible assets	17	102,033	144,782
Right of use assets	21	445,192	495,120
Deferred tax assets	14(ii)	-	54,183
Prepayments	20	8,252	-
Total non-current assets		**2,413,798**	**2,437,797**
Current assets			
Inventories	18	6,721,783	19,332,397
Trade and other receivables	19	113,009	152,620
Refund assets	19	8,153	5,616
Prepayments	20	228,611	249,671
Other financial assets	23	17,283	17,283
Cash and cash equivalents	22	633,847	1,190,658
Total current assets		**7,722,686**	**20,948,245**
Total assets		**10,136,484**	**23,386,042**
Equity			
Issued capital	24	1,500,000	1,500,000
Share premium	24	693,344	693,344
(Accumulated deficit)/Retained earnings		(1,805,636)	1,191,326
Total equity		**387,708**	**3,384,670**
Liabilities			
Non-current liabilities			
Lease liabilities	26	213,454	167,415
Employee benefits	34(iv)	508,380	208,380
Total non-current liabilities		**721,834**	**375,795**
Current liabilities			
Trade and other payables	25	8,711,934	4,983,851
Refund liabilities	25(ii)	8,195	6,240
Current tax liabilities	14(iii)	208,464	840,249
Dividend payable	27	17,384	17,384
Lease liabilities	26	80,965	63,502
Loans and borrowings	28	-	13,714,351
Total current liabilities		**9,026,942**	**19,625,577**
Total liabilities		**9,748,776**	**20,001,372**
Total equity and liabilities		**10,136,484**	**23,386,042**

The Financial statements was approved and authorised for issue by the Board of Directors on 17 March 2026 and was signed on its behalf by:

Chairman
Dr. Joseph Dada
FRC/2016/PRO/DIR/003/00000014735

Managing Director
Mr. Adedeji Adegboyega
FRC/2020/PRO/DIR/003/00000021439

Chief Financial Officer
Mr. Adekunle Adepoju
FRC/2013/PRO/ICAN/001/00000004478

The accompanying notes form an integral part of these financial statements.

Statement of Changes in Equity
For the Period ended 31 December 2025

	Issued capital ₦'000	Share premium ₦'000	Retained earnings/ (Accumulated deficit) ₦'000	Total equity ₦'000
Balance at 1 January 2024	1,500,000	693,344	(743,105)	1,450,239
Profit for the year	-	-	1,934,431	1,934,431
OCI for the year	-	-	-	-
Total comprehensive income for the year	-	-	1,934,431	1,934,431
Balance at 31 December 2024	**1,500,000**	**693,344**	**1,191,326**	**3,384,670**
Balance at 1 January 2025	1,500,000	693,344	1,191,326	3,384,670
Loss for the year	-	-	(2,996,962)	(2,996,962)
OCI for the year	-	-	-	-
Total comprehensive income for the year	-	-	(2,996,962)	(2,996,962)
Balance at 31 December 2025	**1,500,000**	**693,344**	**(1,805,636)**	**387,708**

The accompanying notes form an integral part of these financial statements.

Statement of Cash Flows
For the Period ended 31 December 2025

	Notes	2025 ₦'000	2024 ₦'000
Operating activities			
(Loss)/Profit before tax		(2,942,779)	2,847,352
Adjustments for:			
Depreciation of property, plant and equipment	16(a)	256,200	203,033
Amortisation of intangible assets	13(i)	57,597	52,756
Depreciation of right of use assets	21	49,928	4,161
Impairment of trade receivables	19	63,616	-
Gain on disposal of property, plant and equipment	9	(8,218)	(14,917)
Write off of trade receivables	19	-	34,077
Minimum tax	14(iv)	189,974	-
Finance cost	11	3,241,284	2,030,435
Finance income	10	(114,569)	(173,089)
Provision for long term employee benefits	34(iv)	300,000	208,380
		1,093,033	**5,192,188**
Changes in working capital:			
Decrease/(Increase) in inventories	18	12,610,614	(9,733,481)
(Increase)/Decrease in trade and other receivables	19	(26,542)	1,489,884
Decrease/(Increase) in prepayments	20	12,808	(117,306)
Increase in trade and other payables	25	2,344,249	3,459,196
Cash outflow generated from operating activities		**16,034,162**	**290,481**
Interest paid on leases	26	-	(5,173)
Income tax paid	14(iii)	(821,759)	(243,077)
Net cash flows generated from operating activities		**15,212,403**	**42,231**
Investing activities			
Interest received	10	113,262	145,134
Proceeds from disposal of PPE	9	8,218	14,917
Acquisition of intangible assets	17	(14,848)	-
Purchase of property, plant and equipment	16(b)	(370,811)	(795,835)
Net cash flows used in investing activities		**(264,179)**	**(635,784)**
Financing activities			
Interest paid	28	(2,224,501)	(1,797,192)
Proceeds from borrowings	28	10,810,146	16,454,939
Repayment of borrowings	28	(24,090,608)	(13,205,754)
Repayment of lease liabilities	26	-	(268,365)
Net cash flows generated from financing activities		**(15,504,963)**	**1,183,628**
(Decrease)/Increase in cash and cash equivalents		(556,739)	590,075
Cash and cash equivalents at 1 January		1,190,658	597,257
Net effects of movement of exchange rates on cash held		(72)	3,326
Cash and cash equivalents at 31 December 2025	22	**633,847**	**1,190,658**

The accompanying notes form an integral part of these financial statements.

Notes to the Financial Statements

for the year ended 31 December 2025

Notes to the Financial Statements

For the period ended 31 December 2025

1 Reporting Entity

Livestock Feeds Plc was incorporated on 20th March,1963 and commenced business on 20th May, 1963. The Company was quoted on the Nigerian Stock Exchange in 1978. The Company is engaged principally in the manufacturing and marketing of animal feeds and concentrates. The registered office of the Company is located at 1 Henry Carr Street, Ikeja Lagos. The parent Company is UAC of Nigeria Plc.

Statement of compliance

The Company's financial statements for the period ended 31 December 2025 have been prepared in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards), and in the manner required by the Companies and Allied Matters Act (CAMA), 2020 and the Financial Reporting Council of Nigeria Act, 2011 (as amended). Details of the Company's material accounting policies are included in Note 2.

The financial statement were authorized for issue by the Board of Directors on 17 March 2026.

2 Summary of material accounting policies

Basis of preparation

The financial statements are presented in Naira which is the Company's functional currency and all values are rounded to the nearest thousand (₦'000), except when otherwise indicated.

a) Basis of measurement

The financial statements have been prepared in accordance with the going concern assumption under the historical cost concept except for the following term.

Employee benefits: Present value of the obligation

b) Fair value measurement

The Company measures its financial instruments at fair value at each reporting date mainly for disclosure purpose. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole.

Notes to the Financial Statements
For the period ended 31 December 2025

2 Summary of material accounting policies - continued

b) Fair value measurement

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements at fair value on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy, as explained above.

c) Revenue from contracts with customers

The Company is into agricultural business for the manufacturing and marketing of animal feeds and concentrates.

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Company expects to be entitled in exchange for those goods or services. The Company has generally concluded that it is the principal in its revenue arrangements, because it typically controls the goods or services before transferring them to the customer.

The Company has applied IFRS 15 practical expedient to a portfolio of contracts (or performance obligations) with similar characteristics since the Company reasonably expects that the accounting result will not be materially different from the result of applying the standard to the individual contracts. The Company has been able to take a reasonable approach to determine the portfolios that would be representative of its types of customers and business lines. This has been used to categorise the different revenue stream detailed below.

The disclosures of material accounting judgements, estimates and assumptions relating to revenue from contracts with customers are provided in Note 5.

At contract inception, the Company assesses the goods or services promised to a customer and identifies as a performance obligation each promise to transfer to the customer either:

- a good or service (or a bundle of goods or services) that is distinct; or
- a series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer.

Notes to the Financial Statements
For the period ended 31 December 2025

2 Summary of material accounting policies - continued

c) Revenue from contracts with customers - continued

The Company has identified one distinct performance obligations:

Performance Obligation	When Performance Obligation is Typically Satisfied	When Payment is Typically Due	How Standalone Selling Price is Typically Estimated
Animal feeds	Upon delivery (point in time)	Within 90 days of delivery	Not applicable
	When control of the feeds passes to the customer; typically upon delivery	Within 90 days of delivery	Not applicable

Contract for the sale of feeds and concentrates begins when goods have been delivered to the customer and revenue is recognised at the point in time when control of the goods has been transferred to the customer, generally on delivery of the goods. The normal credit term is 90 days upon delivery.

The Company considers whether there are other promises in the contract that are separate performance obligations to which a portion of the transaction price needs to be allocated (if any). In determining the transaction price for the sale of feeds and concentrates, the Company considers the existence of significant financing components and consideration payable to the customer (if any).

i. Significant financing component

Using the practical expedient in IFRS 15, the Company does not adjust the promised amount of consideration for the effects of a significant financing component since Livestock feeds Plc expects, at contract inception, that the period between the transfer of the promised good or service to the customer and when the customer pays for that good or service will be one year or less.

ii. Variable consideration

If the consideration in a contract includes a variable amount, the Company estimates the amount of consideration to which it will be entitled in exchange for transferring the goods to the customer. The variable consideration is estimated at contract inception and constrained until it is highly probable that a significant revenue reversal in the amount of cumulative revenue recognised will not occur when the associated uncertainty with the variable consideration is subsequently resolved.

Volume incentives and trade discounts

When customers meet a set target in a particular month the Company gives a volume incentive. Trade discounts of 20% are given to customers which is determined at the inception of the contract and are set-off against revenue.

Rights of return

Some contracts for the sale of Animal feeds provide customers with a right of return and volume rebates. When a contract provides a customer with a right to return the goods within a specified period, the consideration received from the customer is variable because the contract allows the customer to return the products. The Company used the expected value method to estimate the goods that will not be returned. For goods expected to be returned, the Company presented a refund liability and an asset for the right to recover products from a customer separately in the statement of financial position.

Notes to the Financial Statements

For the period ended 31 December 2025

2 Summary of material accounting policies - continued

c) Revenue from contracts with customers - continued

Refund assets

Refund assets represent the Company's right to recover the goods expected to be returned by customers. The assets is measured at the former carrying amount of the inventory, less any expected costs to recover the goods, including any potential decreases in the value of the returned goods.

Refund liabilities

A refund liability is the obligation to refund some or all of the consideration received (or receivable) from the customer and is measured at the amount the Company ultimately expects it will have to return to the customer.

The Company updates its estimates of refund (and the corresponding change in the transaction price) at the end of each reporting period.

iii. Principal vs Agent consideration

When another party is involved in providing goods or services to its customer, the Company determines whether it is a principal or an agent in these transactions by evaluating the nature of its promise to the customer. The Company is a principal and records revenue on a gross basis if it controls the promised goods or services before transferring them to the customer. However, if the Company's role is only to arrange for another entity to provide the goods or services, then the Company is an agent and will need to record revenue at the net amount that it retains for its agency services.

Practical Expedients

Revenue Recognition

Livestock Feeds Plc (LSF) has elected to make use of the following practical expedients:

• LSF opted for the use of one year or less practical expedients for significant financing component.

• LSF applies the practical expedient in paragraph 121 of IFRS 15 and does not disclose information about remaining performance obligations that have original expected durations of one year or less.

Other income

This comprises majorly profit from sale of plant and equipment, sales of sacks, government grant, etc.

The profit on disposal is calculated as the difference between the net proceeds and the carrying amount of the assets.

d) Taxes

Current income tax

Income tax expense comprises current and deferred tax. Income tax expense is recognised in the income statement except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity or in other comprehensive income.

Current income tax relating to items recognised directly in equity is recognised in equity and not in the statement of profit or loss. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Notes to the Financial Statements

For the period ended 31 December 2025

2 Summary of material accounting policies - continued

d) Taxes - continued

Tertiary Education Tax

Tertiary Education Tax is charged on the assessable profit of the Company at the rate of 3%. The assessable profit of the Company is ascertained in the manner specified in the Companies Income Tax Act (CITA). The assessable profit is arrived at by adjusting the profit before tax with non-deductible expenses and non-taxable income based on the Companies Income Tax Act. The Company offsets the tax assets arising from withholding tax credits and current tax liabilities if, and only if, the entity has a legally enforceable right to set off the recognized amounts, and it intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously.

Minimum tax

Minimum Tax (determined based on 0.5% of qualifying Company's turnover (revenue) less franked investment income). Taxes based on taxable profit for the period are treated as income tax in line with IAS 12; whereas minimum tax which is based on a gross amount is outside the scope of IAS 12 and therefore, are not presented as part of income tax expense in the profit or loss. The liability is recognised under tax payable in the statement of financial position.

Deferred tax

Deferred tax assets and liabilities are recognised where the carrying amount of an asset or liability differs from its tax base. Deferred taxes are recognized using the balance sheet method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes (tax bases of the assets or liability). The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities using tax rates enacted or substantively enacted by the reporting date.

Deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised. Additional income taxes that arise from the distribution of dividends are recognised at the same time as the liability to pay the related dividend is recognised.

The Company offsets deferred tax assets and deferred tax liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities which intend either to settle current tax liabilities and assets on a net basis, or to realise the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

National Information Technology Development Agency Levy

National Information Technology Development Agency Levy is computed on Profit before tax but it is not applicable to the Companies in agricultural sector.

Nigeria Police Trust Fund Levy

Nigeria Police Trust Fund Levy is computed on the net profit(i.e. profit deducting all expenses and taxes from revenue earned by the Company during the year) and is governed by the Nigeria Police Trust Fund (Establishment) Act, 2019.

Notes to the Financial Statements
For the period ended 31 December 2025

2 Summary of material accounting policies - continued

e) Foreign currencies transaction

In preparing the financial statements of the Company, transactions in currencies other than the entity's presentation currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions.

Foreign exchange gains and losses resulting from the settlement of such transactions and from the re-translation of unsettled monetary assets and liabilities denominated in foreign currencies are recognised in the statement of profit or loss and other comprehensive income within other operating income.

Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date.

f) Cash dividend

The Company recognises a liability to pay a dividend when the distribution is authorised and the distribution is no longer at the discretion of the Company. Based on the corporate laws of Nigeria, a distribution is authorised when it is approved by the shareholders. A corresponding amount is recognised directly in equity. However, where interim dividend is declared by the Board, it is recognised in the liability pending the approval of the shareholders. Dividends for the year that are approved after the statement of financial position date are disclosed as an event after the statement of financial position date where applicable.

g) Property, plant and equipment

Recognition

Items of property, plant and equipment are measured at cost less accumulated depreciation and impairment losses. The cost of property, plant and equipment includes expenditures that are directly attributable to the acquisition of the asset. Property, plant and equipment under construction are disclosed as capital work-in-progress.

Where parts of an item of property, plant and equipment have different useful lives, they are accounted for as a separate item of property, plant and equipment and are depreciated accordingly. Subsequent costs and additions are included in the asset’s carrying amount or are recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. Capital work in progress are uncompleted projects and they are not depreciated. Depreciation starts when the projects are completed and transferred to the relevant asset class.

All other repairs and maintenance costs are charged to the statement of profit or loss and other comprehensive income during the financial period in which they are incurred. Depreciation is recognised so as to write off the cost of the assets less their residual values over their useful lives, using the straight-line method on the following bases:

Major overhaul expenditure, including replacement spares and labour costs, is capitalised and amortised over the average expected life. The depreciation commences immediately the asset is available for intended use.

Notes to the Financial Statements
For the period ended 31 December 2025

2 Summary of material accounting policies - continued
g) Property, plant and equipment - continued
Depreciation on other assets is calculated using the straight line method to allocate their cost over their estimated useful lives, as follows:

Leasehold Land	5 to 25 years
Building	10 to 33 years
Machinery & Equipment	2 to 10 years
Motor Vehicle	
- Automobile	1 to 10 years
- Truck	3 to 10 years
Computer	3 to 5 years
Office equipment	3 to 5 years
Capital work in progress	Nil

The estimated useful lives, residual values and depreciation methods are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

Derecognition
An item of property, plant and equipment is derecognised upon disposal or when no future economic benefit is expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss within ‘other operating income’ in the year that the asset is derecognised.

h) Intangible assets
Computer software
Expenditure that enhances and extends the benefits of computer software beyond their original specifications and lives, is recognised as a capital improvement cost and is added to the original cost of the software. All other expenditure is expensed as incurred.

Amortisation is recognised in the profit/loss on a straight-line basis over the estimated useful life of the software, from the date that it is available for use. The residual values and useful lives are reviewed at the end of each reporting period and adjusted if appropriate. An Intangible asset’s carrying amount is written down immediately to its recoverable amount if the asset’s carrying amount is greater than its estimated recoverable amount. The useful life rate is 33.3%.

Derecognition of intangible assets
An intangible asset is derecognised on disposal, or when no future economic benefits are expected from its use or disposal. Gains or losses arising from derecognition of an intangible assets, measured are as the difference between the net disposal proceeds and the carrying amount of the assets, are recognised in statement of profit or loss and other comprehensive income when the asset is derecognised.

i) Financial instruments – initial recognition and subsequent measurement
A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

a) Financial assets
No changes were made in the objectives, policies or processes for managing capital during the periods ended 31 December 2025 and 2024.

Notes to the Financial Statements
For the period ended 31 December 2025

2 Summary of material accounting policies - continued

i) Financial instruments – initial recognition and subsequent measurement - continued

Initial recognition and measurement

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Company's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Company has applied the practical expedient, the Company initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Trade receivables that do not contain a significant financing component or for which the Company has applied the practical expedient are measured at the transaction price determined under IFRS 15. Refer to the accounting policies in section (c) Revenue from contracts with customers.

In order for a financial asset to be classified and measured at amortised cost, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

The Company's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e., the date that the Company commits to purchase or sell the asset.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortised cost (debt instruments)
- Financial assets at fair value through OCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at fair value through profit or loss

Financial assets at amortised cost (debt instruments)

The Company measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at amortised cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired.

The Company's financial assets at amortised cost includes trade receivables.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a Company of similar financial assets) is primarily derecognised (i.e., removed from the Company's statement of financial position) when:

Notes to the Financial Statements

For the period ended 31 December 2025

2 Summary of material accounting policies - continued

i) Financial instruments – initial recognition and subsequent measurement - continued

Derecognition - continued

- The rights to receive cash flows from the asset have expired

  Or

- The Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a ‘pass-through’ arrangement; and either (a) the Company has transferred substantially all the risks and rewards of the asset, or (b) the Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Company has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if, and to what extent, it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Company continues to recognise the transferred asset to the extent of its continuing involvement. In that case, the Company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Company could be required to repay.

Impairment of financial assets

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments and other financial assets not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms (if any).

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL). The Company assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due.

For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

For receivables from related parties (non-trade), and staff receivables, the Company applies general approach in calculating ECLs.It is the Company’s policy to measure ECLs on such asset on a 12-month basis. However, when there has been a significant increase in credit risk since origination, the allowance will be based on the lifetime ECL.

Notes to the Financial Statements
For the period ended 31 December 2025

2 Summary of material accounting policies - continued
i) Financial instruments – initial recognition and subsequent measurement - continued
Impairment of financial assets - continued

The Company considers a financial asset in default when contractual payments are 90 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

The Company calculates ECLs based on a three probability-weighted scenarios to measure the expected cash shortfalls, discounted at an approximation to the EIR. A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

The mechanics of the ECL calculations are outlined below and the key elements are, as follows:

- PD — The Probability of Default is an estimate of the likelihood of default over a given time horizon.
- EAD — The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise.
- LGD — The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the Company would expect to receive, including from the realization of any collateral. It is usually expressed as a percentage of the EAD.

When estimating the ECLs, the Company considers three scenarios (a base case, an upside, a downside). Each of these is associated with different PDs, EADs and LGDs. In its ECL models, the Company relies on a broad range of forward looking information as economic inputs, such as:

- GDP growth
- Oil price
- Exchange rate
- Inflation rate

Other Financial Assets

Other financial assets relate to 90% of the unclaimed dividend returned by the registrar of the company. This is in compliance with the directives of the Nigeria Securities and Exchange Commission. The amount is placed in a fixed deposit account where a fixed interest rate is earned.

Financial liabilities

Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss, amortized cost, as appropriate.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

Notes to the Financial Statements

For the period ended 31 December 2025

2 Summary of material accounting policies - continued

i) Financial instruments – initial recognition and subsequent measurement - continued

Financial liabilities - continued

The Company's financial liabilities include trade and other payables, loans and borrowings and are classified at amortised cost.

Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term. This category also includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. Separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments.

Gains or losses on liabilities held for trading are recognised in the statement of profit or loss.

Financial liabilities designated upon initial recognition at fair value through profit or loss are designated at the initial date of recognition, and only if the criteria in IFRS 9 are satisfied. The Company has not designated any financial liability at fair value through profit or loss.

Loans and borrowings

After initial recognition, loans and borrowings are subsequently measured at amortised cost using the effective interest rate(EIR) method.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit or loss.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the statement of profit or loss.

iii) Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the statement of financial position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

j) Inventories

Inventories are stated at the lower of cost and net realisable value, with appropriate provisions for old and slow moving items. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

Notes to the Financial Statements
For the period ended 31 December 2025

2 Summary of material accounting policies - continued

j) Inventories - continued

Inventory quantities and values will be adjusted for spoilage, spillage and deterioration, expiration and any other loss as soon as it is discovered. Stock assessment must be carried out quarterly and the inventories should be measured at the lower of cost and net realizable value as provided for in IFRS. The comparison of cost and net realizable value should be carried out on an item-by-item basis but, where this is impracticable, groups of similar items shall be considered together. it is not appropriate to write inventories down on the basis of classification for example, finished goods or all inventories in a particular operating segment. Where the net realizable value of an item is less than its cost, the excess is written off immediately in income statement.

Cost is determined as follows:-

Raw materials and packaging materials
Raw materials and packaging materials include purchase cost and other costs incurred to bring the materials to their location and condition are valued using weighted average cost.

Finished goods
Cost of direct materials and labour plus a reasonable proportion of overheads absorbed by manufacturing based on normal levels of activity.

Spare parts and consumables
Spare parts which are expected to be fully utilized in production within the next operating cycle and other consumables are valued at weighted average cost after making allowance for obsolete and damaged stocks.

k) Impairment of non-financial assets

Further disclosures relating to impairment of non-financial assets are also provided in the following notes:

• Disclosures for significant assumptions	Note 4
• Property, plant and equipment	Note 16(a)
• Intangible assets	Note 17

The Company assesses, at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or CGU's fair value less costs of disposal and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or Company's of assets. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators.

The Company bases its impairment calculation on detailed budgets and forecast calculations, which are prepared separately for each of the Company's CGUs to which the individual assets are allocated.

Notes to the Financial Statements

For the period ended 31 December 2025

2 Summary of material accounting policies - continued

k) Impairment of non-financial assets - continued

An assessment is made at each reporting date to determine whether there is an indication that previously recognised impairment losses no longer exist or have decreased. If such indication exists, the Company estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the statement of profit or loss unless the asset is carried at a revalued amount, in which case, the reversal is treated as a revaluation increase.

l) Cash and bank balances

Cash and short-term deposits in the statement of financial position comprise cash at banks and on hand and short-term highly liquid deposits with a maturity of three months or less, that are readily convertible to a known amount of cash and subject to an insignificant risk of changes in value.

For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and bank balances, as defined above, net of outstanding bank overdrafts as they are considered an integral part of the Company's cash management.

m) Provisions

A provision is recognized only if, as a result of a past event, the Company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. The provision is measured at the best estimate of the expenditure required to settle the obligation at the reporting date.

Provisions are not recognised for future operating losses. Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognized even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small. The Company's provisions are measured at the present value of the expenditures expected to be required to settle the obligation.

n) Pension and other post-employment benefits

i) Defined contribution scheme - pension

In line with the provisions of the Nigerian Pension Reform Act, 2014, Livestock Feeds Plc has instituted a defined contributory pension scheme for its employees. The scheme is funded by fixed contributions from employees and the Company at the rate of 8% by employees and 10% by the Company of basic, housing and transport allowance, and invested outside the Company through Pension Fund Administrators (PFAs) of the employees' choice.

The Company has no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employees' service in the current and prior periods.

Notes to the Financial Statements
For the period ended 31 December 2025

2 Summary of material accounting policies - continued

n) Pension and other post-employment benefits - continued

i) Defined contribution scheme - pension - continued

The matching contributions made by Livestock Feeds Plc to the relevant PFAs are recognised as expenses when the costs become payable in the reporting periods during which employees have rendered services in exchange for those contributions. Liabilities in respect of the defined contribution scheme are charged against the profit of the period in which they become payable.

Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

ii) Other long term benefits

Other long term benefits are all employee benefits other than short-term employee benefits, post-employment benefits and termination benefit. The company's net obligation under other long term benefits is the amount of future benefits that employees have earned in return for their service in current and prior periods. The benefit is discounted to determine its present value and remeasurements are recognised in the profit or loss account in the period in which they arise.

iii) Profit-sharing and bonus plans

All full-time staff are eligible to participate in the profit-sharing scheme. The company recognises a liability and an expense for bonuses and profit-sharing, based on a formula that takes into consideration the profit attributable to the company's shareholders after certain adjustments.

o) Leases

The Company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

i) Right -of-use-assets (ROU)

The Company recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities.

The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets.

ii) Lease liabilities

At the commencement date of the lease, the Company recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects the Company exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

Notes to the Financial Statements

For the period ended 31 December 2025

2 Summary of material accounting policies - continued

o) Leases - continued

iii) Short-term leases

The Company applies the short-term lease recognition exemption to its short-term leases assets i.e. Land and warehouses (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). Lease payments on short-term leases are recognised as expense on a straight-line basis over the lease term.

p) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the internal chief operating-decision maker. The chief operating-decision maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Board of Livestock Feeds Plc**.**

The Company's primary format for segment reporting is based on business operating segments. Where applicable, segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

The basis of segmental reporting is geographical locations where the Company operates namely Ikeja for South West, Aba mill for South East, Onitsha operations for South South and Jos and Kano for the North.

q) Prepayments:

Prepayments are non-financial assets which result when payments are made in advance for the receipt of goods or services. They are recognized when the Company expects to receive future economic benefits equivalent to the value of the prepayments.

The receipt or consumption of the services is a reduction in the prepayment and a corresponding increase in expense or assets for that reporting period.

3 Application of new and revised International Financial Reporting Standards (IFRSs)

a) Amendments to IFRSs that are mandatorily effective for the current year

In the current year, the Company has applied a number of amendments to IFRSs issued by the International Accounting Standards Board (IFRS Accounting Standards) that are mandatorily effective for accounting period that begins on or after 1 January 2025.

i) Amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates - Lack of Exchangeability

The amendments to IAS 21 deals with situations when one currency cannot be exchanged into another. The lack of exchangeability may occur, for example, because of government imposed controls on capital imports and exports, or the volume of foreign currency transactions that can be undertaken at an official exchange rate is limited. The amendments clarify when a currency is considered exchangeable into another currency and how an entity estimates a spot rate for currencies that lack exchangeability.

This has no material impact on the Company's financial statements.

Notes to the Financial Statements
For the period ended 31 December 2025

3 Application of new and revised International Financial Reporting Standards (IFRSs) - continued

b) Standards issued but not yet effective

Amendments to IFRS 10 and IAS 28	Sale or Contribution of Assets between an Investor and its Associate or Joint Venture
Amendments to IFRS 9 and IFRS 7	Classification and Measurement of Financial Instruments
IFRS 18 Presentation and Disclosure in Financial Statements	Contracts Referencing Nature-dependent Electricity
IFRS 19 Subsidiaries without Public Accountability: Disclosures	Presentation and Disclosure in Financial Statements
IFRS 1, IFRS 7, IFRS 9, IFRS 10 & IAS 7 Amendment	Subsidiaries without Public Accountability: Disclosures
Amendments to IFRS 9 and IFRS 7	Annual improvements of IFRS Accounting Standards - Volume 11

i) Amendments to IFRS 9 and IFRS 7: Classification and measurement of Financial Instruments

These amendments clarify how to classify and disclose some financial assets with ESG-linked features. The amendments to IFRS 9 include guidance on the classification of financial assets, including those with contingent features while amendments to IFRS 7 now requires Companies to provide additional disclosures on financial assets and financial liabilities that have certain

contingent features. The amendments also introduce an additional SPPI test for financial assets with contingent features that are not related directly to a change in basic lending risks or costs.

The effective date of the amendment is for years beginning on or after 1 January 2026.

These amendments are not expected to have any material impact on the Company's financial statements.

ii) IFRS 10 Consolidated Financial Statements and IAS 28 (amendments) Sale or Contribution of Assets between an Investor and its Associate or Joint Venture

The amendments to IFRS 10 and IAS 28 deal with situations where there is a sale or contribution of assets between an investor and its associate or joint venture. Specifically, the amendments state that gains or losses resulting from the loss of control of a subsidiary that does not contain a business in a transaction with an associate or a joint venture that is accounted for using the equity method, are recognised in the parent’s profit or loss only to the extent of the unrelated investors’ interests in that associate or joint venture. Similarly, gains and losses resulting from the remeasurement of investments retained in any former subsidiary (that has become an associate or a joint venture that is accounted for using the equity method) to fair value are recognised in the former parent’s profit or loss only to the extent of the unrelated investors’ interests in the new associate or joint venture.

The effective date of the amendments is yet to be set by the IASB; however, earlier application of the amendments is permitted.

These amendments are not expected to have any material impact on the Company's financial statements.

Notes to the Financial Statements

For the period ended 31 December 2025

3 Application of new and revised International Financial Reporting Standards (IFRSs) - continued

b) Standards issued but not yet effective - continued

iii) IFRS 18 Presentation and Disclosure in Financial Statements

The standard aims to provide greater consistency in presentation of the income and cash flow statements, and more disaggregated information It provides significant changes to how a company presents its income statement and what information needs to be disclosed, and making certain 'non-GAAP' measures part of the audited financial statements for the first time.

The effective date of the amendment is for years beginning on or after 1 January 2027.

The directors of the Company anticipate that these amendments are expected to have a material impact on the financial statements presentation.

iv) IFRS 19 Subsidiaries without public accountability: Disclosures (effective 1 January 2027)

IFRS 19 allows eligible subsidiaries to apply IFRS Accounting Standards with the reduced disclosure requirements of IFRS 19. A subsidiary may choose to apply the new standard in its consolidated, separate or individual financial statements provided that, at the reporting date:

•it does not have public accountability; and
•its parent produces consolidated financial statements under IFRS Accounting Standards.

A subsidiary applying IFRS 19 is required to clearly state in its explicit and unreserved statement of compliance with IFRS Accounting Standards that IFRS 19 has been adopted.

The directors of the Company anticipate that these amendments are not expected to have material impact on the financial statements presentation.

v) Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures - Contracts Referencing Nature-dependent Electricity

The amendments introduce guidance for determining whether a contract qualifies as "held for own use." They clarify that an entity may apply the exemption even if it sells unused electricity, provided it remains a net purchaser over the contract term and disposes of the surplus in the same market. Additionally, the amendments allow hedge accounting for contracts referencing nature-dependent electricity as hedging instruments. This includes designating a variable nominal amount of forecast electricity transactions as the hedged item, aligning it with the expected variability in electricity delivery. The new disclosure requirements aim to help financial statement users understand how these contracts affect an entity's financial performance and cash flows.

The effective date of the amendment is for years beginning on or after 1 January 2026.

The directors of the Company anticipate that these amendments are not expected to have material impact on the financial statements presentation.

Notes to the Financial Statements
For the period ended 31 December 2025

3 Application of new and revised International Financial Reporting Standards (IFRSs) - continued

b) Standards issued but not yet effective - continued

vi) Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures - Contracts Referencing Nature-dependent Electricity

The amendments introduce guidance for determining whether a contract qualifies as "held for own use." They clarify that an entity may apply the exemption even if it sells unused electricity, provided it remains a net purchaser over the contract term and disposes of the surplus in the same market. Additionally, the amendments allow hedge accounting for contracts referencing nature-dependent electricity as hedging instruments. This includes designating a variable nominal amount of forecast electricity transactions as the hedged item, aligning it with the expected variability in electricity delivery. The new disclosure requirements aim to help financial statement users understand how these contracts affect an entity's financial performance and cash flows.

The effective date of the amendment is for years beginning on or after 1 January 2026.

The directors of the Company anticipate that these amendments are not expected to have material impact on the financial statements presentation.

vii) IFRS 1 First-time Adoption of International Financial Reporting Standards, IFRS 7 Financial Instruments:Disclosures, IFRS 9 Financial Instruments, IFRS 10 Consolidated Financial Statements & IAS 7 Statement of Cash Flows - Annual Improvements - Volume 11

The annual improvements process is a targeted amendments to improve clarity and internal consistency of IFRS Accounting Standards.

The amendment addresses a potential confusion arising from an inconsistency in wording between paragraph B6 of IFRS 1 and requirements for hedge accounting in IFRS 9 Financial Instruments by a first time adopter. The amendment in IFRS 7 among others addresses a potential confusion in paragraph B38 arising from an obsolete reference to a paragraph that was deleted from the standard relating to gain or loss on derecognition. The amendment in IFRS 9 among others addresses a potential lack of clarity in the application of the requirements of paragraph 23 to account for a derecognition of a lessee's lease liability. The amendment of IFRS 10 addresses a potential confusion arising from an inconsistency between paragraphs B73 and B74 of IFRS 10 related to an investor determining whether another party is acting on its behalf. Lastly, the amendment of IAS 7 addresses a potential confusion in applying paragraph 37 that arises from the use of the term 'cost method' that is no longer defined in IFRS Accounting Standards.

The effective date of the amendment is for years beginning on or after 1 January 2026.

The directors of the Company anticipate that these amendments are not expected to have material impact on the financial statements presentation.

4 Material accounting judgements, estimates and assumptions

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in out comes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Notes to the Financial Statements
For the period ended 31 December 2025

4 Material accounting judgements, estimates and assumptions - continued

Other disclosures relating to the Company's exposure to risks and uncertainties includes:

• Capital management	Note 7
• Financial instruments risk management and policies	Note 33
• Sensitivity analyses disclosures	Note 33

Judgements

In the process of applying the Company's accounting policies, management has made the following judgements, which have the most significant effect on the amounts recognised in the financial statements:

(a) Determining the lease term of contracts with renewal – Company as lessee

The Company determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

(b) Revenue from contracts with customers

The Company applied the following judgements that significantly affect the determination of the amount and timing of revenue from contracts with customers:

Determining the timing of satisfaction of sales of feeds and concentrates

- The Company has a present right to payment for the goods;
- The customer has legal title to the goods;
- The Company has transferred physical possession of the asset and delivery note received;
- The customer has the significant risks and rewards of ownership of the goods; and
- The customer has accepted the goods

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

(a) Impairment of non-financial assets

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm's length, for similar assets or observable market prices less incremental costs of disposing off the asset. The fair value of the assets is based on the market value. This is the price which an asset may be reasonably expected to be realised in a sale in a private contract. These estimates are most relevant to intangibles with indefinite useful lives recognised by the Company.

(b) Provision for expected credit losses of trade receivables

The Company uses a provision matrix to calculate ECLs for trade receivables. The provision rates are based on days past due for various customer segments that have similar loss patterns (i.e., by product type, customer type and rating).

Notes to the Financial Statements - Continued
For the period ended 31 December 2025

4 Material accounting judgements, estimates and assumptions - continued
Estimates and assumptions - continued
(b) Provision for expected credit losses of trade receivables - continued

The provision matrix is initially based on the Company's historical observed default rates. The Company will calibrate the matrix to adjust the historical credit loss experience with forward-looking information. For instance, if forecast economic conditions (i.e., gross domestic product) are expected to deteriorate over the next year which can lead to an increased number of defaults in the manufacturing sector, the historical default rates are adjusted. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analysed.

The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Company's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. The information about the ECLs on the Company's trade receivables is disclosed in Note 19 and 33.

(c) Depreciation and carrying value of property, plant and equipment

The estimation of the useful lives of assets is based on management's judgement. Any material adjustment to the estimated useful lives of items of property and equipment will have an impact on the carrying value of these items.

(d) Taxes

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised. This includes assessing the likely timing and level of future taxable profits as well as evaluating the expected timing of reversal of deductible temporary differences. Management must estimate when temporary differences will reverse and whether they will generate sufficient taxable income within the appropriate period to support recognition of the deferred tax assets, together with consideration of future tax planning strategies.

5 Revenue from contracts with customers
5.1 Disaggregated revenue information

Set out below is the disaggregation of the Company's revenue from contracts with customers:

	For the period ended 31 December 2025				
Segments	**Aba**	**Ikeja**	**Onitsha Operations**	**Northern Operations**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Type of goods or service					
Sales of livestock feeds	17,575,125	12,896,940	2,119,494	5,173,018	37,764,577
Total revenue from contracts with customers	**17,575,125**	**12,896,940**	**2,119,494**	**5,173,018**	**37,764,577**
Geographical markets					
Within Nigeria	17,575,125	12,896,940	2,119,494	5,173,018	37,764,577
Total revenue from contracts with customers	**17,575,125**	**12,896,940**	**2,119,494**	**5,173,018**	**37,764,577**
Timing of revenue recognition					
Goods transferred at a point in time	17,575,125	12,896,940	2,119,494	5,173,018	37,764,577
Total revenue from contracts with customers	**17,575,125**	**12,896,940**	**2,119,494**	**5,173,018**	**37,764,577**

Notes to the Financial Statements - Continued
For the period ended 31 December 2025

5 Revenue from contracts with customers (cont"d)

5.1 Disaggregated revenue information - continued

	For the period ended 31 December 2024				
	Aba	**Ikeja**	**Onitsha Operations**	**Northern Operations**	**Total**
	₦'000	**N'000**	**N'000**	**N'000**	**N'000**
Segments					
Type of goods or service					
Sales of livestock feeds	16,366,119	18,009,953	2,372,298	4,921,200	41,669,570
Total revenue from contracts with customers	**16,366,119**	**18,009,953**	**2,372,298**	**4,921,200**	**41,669,570**
Geographical markets					
Within Nigeria	16,366,119	18,009,953	2,372,298	4,921,200	41,669,570
Total revenue from contracts with customers	**16,366,119**	**18,009,953**	**2,372,298**	**4,921,200**	**41,669,570**
Timing of revenue recognition					
Goods transferred at a point in time	16,366,119	18,009,953	2,372,298	4,921,200	41,669,570
Total revenue from contracts with customers	**16,366,119**	**18,009,953**	**2,372,298**	**4,921,200**	**41,669,570**

Performance obligations

Information about the Company’s performance obligations are summarised below:

Sale of Animal feeds

The performance obligation is satisfied upon delivery of livestock feeds and payment is generally due within 90 days from delivery.

Contract balances	**2025**	**2024**
	₦'000	**₦'000**
Trade receivables (Note 19)	224,297	114,750

In 2025, provision for trade receivable is ₦161.2 Million (2024: ₦97.95million), and ₦63.61 million (2024:Nil) was recognised as impairment losses on trade receivables in the statement of profit or loss and other comprehensive income.

5.2 Information about major customers

Revenues from two customers of the Company represented approximately ₦10 billion (2024: ₦6.03 billion) of the Company’s total revenues.

Notes to the Financial Statements - Continued

For the period ended 31 December 2025

6 Segment information

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. The chief operating decision-maker has been identified as the Board of Livestock Feeds Plc. The Board members review the Company's internal reporting in order to assess performance and allocate resources. The directors have determined the operating segments based on these reports. Assessment of performance is based on operating profits of the operating segment that is reviewed by the Board. Other information provided to the Board is measured in a manner consistent with that of the financial statements.

The Company generated all its revenue in Nigeria. The Company operates in the Feed Milling industry hence all information on the statement of profit or loss and other comprehensive income and statement of financial position remains the same with that of the segment information.

	2025 ₦'000	2024 ₦'000
Revenue from contract with customers (Note 5)	37,764,577	41,669,570
Operating profit	373,910	4,704,698
Finance cost (Note 11)	(3,241,284)	(2,030,435)
Finance income (Note 10)	114,569	173,089
Profit before taxation	(2,752,805)	2,847,352
Minimum tax expense (Note 14 (iv))	(189,974)	-
Income tax expense (Note 14 (i))	(54,183)	(912,921)
Total assets	10,136,484	23,386,042
Total liabilities	9,748,776	20,001,372

Revenue

The Company (all segments) produces animal feeds which is 100% of its turnover. Other products include Veterinary Drugs which is bought from other Companies for marketing and sales. All the products have similar risk and returns and are therefore considered as a single segment. Analysis of sales for the year is as follows:

	2025 ₦'000	2024 ₦'000
Aba	17,575,125	16,366,119
Ikeja	12,896,940	18,009,953
Onitsha Operations	2,119,494	2,372,298
Northern Operations	5,173,018	4,921,200
	37,764,577	41,669,570

Notes to the Financial Statements - Continued

For the period ended 31 December 2025

6 Segment information - continued

Segmental revenue and operating profit - 31 December 2025

	Aba	Ikeja	Onitsha Operations	Northern Operations	Total
	₦'000	**₦'000**	**₦'000**		**₦'000**
From external customers	17,575,125	12,896,940	2,119,494	5,173,018	37,764,578
Segment revenue	17,575,125	12,896,940	2,119,494	5,173,018	37,764,578
Material costs	(15,894,632)	(11,180,765)	(1,856,135)	(4,489,815)	(33,421,347)
Salaries and other staff benefit	(333,561)	(405,498)	(33,125)	(104,592)	(876,776)
Depreciation	(112,008)	(80,009)	(11,123)	(58,219)	(261,358)
Other expenses	(364,892)	(285,252)	(17,614)	(212,176)	(879,934)
Gross profit	**870,032**	**945,417**	**201,497**	**308,217**	**2,325,163**
Selling and distribution expense	(60,751)	(103,906)	(25,438)	(45,559)	(235,654)
Trading profit	**809,281**	**841,511**	**176,059**	**262,658**	**2,089,509**
Other income	48,223	21,988	-	11,825	82,036
Profit from sales of raw materials	-	14,737	-	-	14,737
Sale of eggs	5,611	-	-	-	5,611
Operating profit	**863,115**	**878,236**	**176,059**	**274,483**	**2,191,893**
Finance cost	(1,146,892)	(1,392,688)	(115,910)	(522,292)	(3,177,782)
Lease interest expenses	-	-	-	(63,502)	(63,502)
Contribution to margin	**(283,777)**	**(514,453)**	**60,149**	**(311,311)**	**(1,049,391)**

Head Office	**2025**
	₦'000
Dividend income (Note 9)	536
Finance income (Note 10)	114,569
Laboratory income	2,672
Sales of scrap	706
Gain on disposal of assets (Note 9)	8,218
Miscellaneous income	1,079
Administrative cost (Note 8(iii))	(1,669,168)
Marketing cost	(162,025)
Profit before tax	**(2,752,805)**

Notes to the Financial Statements - Continued
For the period ended 31 December 2025

6 Segment information - continued

Segment assets and liabilities - 31 December 2025

Non-current assets	**Head office**	**Aba**	**Ikeja**	**Onitsha Operations**	**Northern Operations**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Property, plant and equipment	1,016,297	394,347	328,881	15,809	102,987	1,858,321
Intangible assets	102,033	-	-	-	-	102,033
Right of use of assets	-	-	-	-	445,192	445,192
Total Non-current Assets	**1,118,330**	**394,347**	**328,881**	**15,809**	**548,179**	**2,405,546**

Current assets	**Head office**	**Aba**	**Ikeja**	**Onitsha Operations**	**Northern Operations**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Inventory*	780,026	2,086,248	2,414,630	6,836	1,434,043	6,721,783
Trade and other receivables*	(111,287)	64,158	115,365	37,058	7,715	113,009
Refund assets	8,153	-	-	-	-	8,153
Prepayments	202,713	-	15,120	-	10,778	228,611
Other financial assets	17,283	-	-	-	-	17,283
Cash and cash equivalents	456,188	265	14	63,236	114,144	633,847
Total Current Assets	**1,353,076**	**2,150,671**	**2,545,129**	**107,130**	**1,566,680**	**7,722,685**

*The inventory balance at the head office represents materials held in Livestock Feeds Plc warehouses and those held at external warehouses in Lagos and Shagamu while trade and other receivables represents receivables from debtors and deposit for raw materials.

Non-current liabilities	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Lease liabilities	-	-	-	-	213,454	213,454
Deferred tax liabilities	-	-	-	-	-	-
Employee benefits	508,380	-	-	-	-	508,380
Total Non-current Liabilities	**508,380**	**-**	**-**	**-**	**213,454**	**721,834**

Notes to the Financial Statements - Continued
For the period ended 31 December 2025

6 Segment information - continued
Segment assets and liabilities - 31 December 2025 - continued

Current liabilities	Head office	Aba	Ikeja	Onitsha Operations	Northern Operations	Total
	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
Trade and other payables	8,578,794	40,689	63,439	3,652	25,361	8,711,934
Loans and borrowings	-	-	-	-	-	-
Refund liabilities	8,195	-	-	-	-	8,195
Dividend payable	17,384	-	-	-	-	17,384
Current tax liabilities	208,464	-	-	-	-	208,464
Total Current Liabilities	**8,812,836**	**40,689**	**63,439**	**3,652**	**25,361**	**8,945,977**

Segment revenue and operating profit -31 December 2024

	Aba	Ikeja	Onitsha Operations	Northern Operations	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
From external customers	16,366,119	18,009,953	2,372,298	4,921,200	41,669,570
Segment revenue	16,366,119	18,009,953	2,372,298	4,921,200	41,669,570
Material costs	(13,327,483)	(14,502,413)	(1,933,595)	(3,934,707)	(33,698,198)
Salaries and other staff benefit	(218,658)	(386,526)	(30,348)	(44,672)	(680,204)
Depreciation	(80,546)	(69,957)	(11,179)	(7,773)	(169,455)
Other expenses	(297,746)	(307,653)	(41,331)	(48,231)	(694,961)
Gross profit	**2,441,686**	**2,743,404**	**355,845**	**885,817**	**6,426,752**
Selling and distribution expense	(146,550)	(170,914)	(26,505)	(32,337)	(376,306)
Trading profit	**2,295,136**	**2,572,490**	**329,340**	**853,480**	**6,050,446**
Other income	231,405	212,962	-	5,188	449,555
Profit from sales of raw materials	-	354,463	-	-	354,463
Operating profit	**2,526,541**	**3,139,915**	**329,340**	**858,668**	**6,854,464**
Finance expense	(594,376)	(1,026,641)	(74,446)	(310,342)	(2,005,805)
Contribution to margin	**1,932,165**	**2,113,274**	**254,894**	**548,326**	**4,848,659**

Notes to the Financial Statements - Continued
For the period ended 31 December 2025

6 Segment information - continued
Segment revenue and operating profit - 31 December 2024 - continued

	2024
Head Office	**₦'000**
Dividend income (Note 9)	459
Interest income (Note 10)	148,460
Laboratory income	2,252
Sales of scrap	118
Gain on disposal of assets (Note 9)	14,917
Miscellaneous income	1,258
Administrative cost (Note 8(iii))	(1,795,303)
Marketing cost	(373,467)
Profit before tax	**2,847,353**

Segment assets and liabilities- 31 December 2024

Non-current assets	Head office	Aba	Ikeja	Onitsha Operations	Northern Operations	Total
	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
Property, plant and equipment	1,193,305	347,634	201,282	-	1,491	1,743,712
Intangible assets	144,782	-	-	-	-	144,782
Right of use of assets	-	-	-	-	495,120	495,120
Deferred tax assets	54,183	-	-	-	-	54,183
Total Non-current Assets	**1,392,270**	**347,634**	**201,282**	**-**	**496,611**	**2,437,797**
Current assets	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Inventory	10,542,237	3,181,739	3,971,467	12,644	1,624,310	19,332,397
Trade and other receivables	37,870	48,498	54,391	8,695	3,166	152,620
Refund assets	5,616	-	-	-	-	5,616
Prepayments	113,710	2,633	22,495	-	110,833	249,671
Other financial asset	17,283	-	-	-	-	17,283
Cash and cash equivalents	164,480	26	1,011,464	14,669	19	1,190,658
Total Current Assets	**10,881,196**	**3,232,896**	**5,059,817**	**36,008**	**1,738,328**	**20,948,245**

Notes to the Financial Statements - Continued

For the period ended 31 December 2025

6 Segment information - continued

Segment assets and liabilities- 31 December 2024

Non-current liabilities	**Head office**	**Aba**	**Ikeja**	**Onitsha**	**Northern**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Lease liabilities	(63,502)	-	-	-	230,917	167,415
Employee benefits	208,380	-	-	-	-	208,380
Total Non-current Liabilities	**144,878**	**-**	**-**	**-**	**230,917**	**375,795**
Current liabilities	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Trade and other payables	4,860,793	21,168	57,927	33,362	10,601	4,983,851
Short- term borrowings	13,714,351	-	-	-	-	13,714,351
Refund liabilities	6,240	-	-	-	-	6,240
Dividend payable	17,384	-	-	-	-	17,384
Current tax payable	840,249	-	-	-	-	840,249
Total Current Liabilities	**19,439,017**	**21,168**	**57,927**	**33,362**	**10,601**	**19,562,075**

7 Capital management

For the purpose of the Company's capital management, capital includes issued capital, share premium and retained earnings attributable to the equity holders of the Company. The primary objective of the Company's capital management is to maximise the shareholder value.

The Company manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares.

The Company monitors capital using a gearing ratio, which is net debt divided by total capital plus net debt. The Company's policy is to keep the gearing ratio below 60% and a minimum B credit rating. The Company includes within net debt, loans and borrowings, trade and other payables, less cash and bank balances.

Notes to the Financial Statements - Continued
For the period ended 31 December 2025

7 Capital management - continued

	Note	2025 ₦'000	2024 ₦'000
Trade and other payables	25	8,711,934	4,983,851
Loans and borrowings	28	-	13,714,351
Cash and cash equivalents	22	(633,847)	(1,190,658)
Net debt		**8,078,087**	**17,507,544**
Total capital: Equity		387,708	3,384,670
Capital and net debt		**8,465,795**	**20,892,214**
Gearing ratio		**95%**	**84%**

No changes were made in the objectives, policies or processes for managing capital during the periods ended 31 December 2025 and 2024.

8 Expenses by Nature

8(i) Cost of sales

	Notes	2025 ₦'000	2024 ₦'000
Change in inventories of finished goods and work in progress		33,421,347	33,698,198
Salaries and other staff benefits*		876,776	680,205
Business travelling expenses		54,432	6,280
Business entertainment expenses		1,073	6,818
Electricity and power		368,972	313,704
Depreciation of property, plant & equipment	13	211,430	165,294
Amortisation of intangible assets	13(i)	108	108
Depreciation expense - (ROU)		49,928	4,161
Rent**		71,878	94,663
Security expenses		27,824	27,394
Local repair and renewal		202,346	125,117
Laboratory expenses		21,020	7,853
Research & development		33,748	30,133
Vehicle repairs expenses		9,300	15,508
Sundry vehicle expenses		3,571	2,839
Cleaning & sanitation		13,601	7,782

Notes to the Financial Statements - Continued
For the period ended 31 December 2025

8 Expenses by Nature - continued

8(i) Cost of sales - continued

	2025 ₦'000	2024 ₦'000
Office stationery & printing	10,695	7,403
Rates	50	3,258
Subscription	16,466	6,397
Information Technology	4,183	1,280
Other expenses ***	40,667	38,424
Total cost of sales	**35,439,415**	**35,242,819**

* Salaries & other benefits includes Employer Pension for the year ₦17,413,283.39 (2024: ₦14,973,130).

**Rent represents the cost incurred during the year for warehouse facilities located in Ikeja, Zaria, and Kano.

*** Other expenses includes computer repairs and maintenance, uniforms, telephone expenses, postal services and computer charges which were incurred by the Company during the year.
The expenses included in cost of sales relate to those that are incurred at warehoiuses and the various mills and factories.

8(ii) Selling and distribution expenses

	Notes	2025 ₦'000	2024 ₦'000
Salaries and other staff benefit*		164,262	172,946
Business travelling expenses		61,006	35,715
Distribution expenses		88,543	44,709
Corporate gifts/marketing investment		45,262	91,430
Depreciation of property, plant & equipment	13	23,796	18,556
Electricity and power		3,859	2,838
Local repair and renewal		36	202
Advertisement and publicity		2,193	870
Vehicle repairs, maintenance & fuelling		8,386	8,574
Other expenses **		336	465
		397,679	**376,305**

* Salaries & other benefits include Employer's Pension of ₦5,932,135.39 (2024: ₦5,497,785).

Notes to the Financial Statements - Continued

8 Expenses by Nature - continued

8(ii) Selling and distribution expenses - continued

** Other expenses include all other expenses that are related to selling & distribution but not stated above such as, staff uniform, postages, and telephone expenses etc, which were incurred during the year.

8(iii) Administrative expenses

		2025 ₦'000	2024 ₦'000
Salaries and other staff benefit*		416,879	622,601
Consultancy fees		92,709	80,879
Audit fees**		24,963	20,373
Non-audit related services ***		13,650	15,840
Subscription		40,588	8,767
Board expenses		46,940	30,217
AGM expenses		6,200	7,769
Information Technology		271,438	205,954
Depreciation of property,plant & equipment	13	20,973	19,183
Amortisation of intangible assets	13(i)	57,489	52,648
Insurance		95,851	53,677
Management service fees		404,585	427,013
Bank charges		5,920	26,431
Business travelling & entertainment		27,360	19,949
Electricity & power		9,834	9,844
Cleaning & sanitation		1,137	513
Security expenses		38,233	891
Office stationery & printing		2,790	2,181
Local repairs & renewal		5,600	2,102
Rent and rates		1,327	3,807
Advertisement & publicity		274	1,094
Vehicles repairs, maintenance & fueling		3,194	1,984
Other expenses ****		17,618	181,586
		1,605,552	**1,795,303**

* Salaries & other benefits include Employer's Pension ₦12,987,388.82 (2024:₦12,015,047).

** Audit Fees relates to the professional fees for our external auditor.

*** Non-Audit related services relates to the professional fees for the limited Assurance Engagement performed on Management's Assessment of Internal Control over Financial reporting.

Notes to the Financial Statements - Continued
For the period ended 31 December 2025

9 Other operating income

	2025	2024
	₦'000	₦'000
Sales of sacks	78,494	70,311
Laboratory income*	2,963	2,607
Weighing income**	3,129	1,948
Sales of scrap	828	3,592
Gain on disposal of property, plant and equipment	8,218	14,917
Registration fees	1,079	1,258
Dividend income	536	459
Sales of eggs	5,611	-
Profit from sales of raw materials***	14,737	354,463
Total other operating income	**115,595**	**449,555**

*The Company has laboratories in Ikeja mill and Aba mill where third parties come for laboratory analysis and pay for this service.

**Third parties made use of the Company's weighbridge to weigh their trucks and goods in Ikeja mill and Onitsha operations during the year.

***Profit from sales of raw materials such as soya oil, natuzyme etc.

10 Finance income

	2025	2024
	₦'000	₦'000
Interest income on short-term bank deposits	111,147	143,426
Interest income - unclaimed dividend	2,115	1,708
	113,262	**145,134**
Gain on unrealized foreign currency revaluation	1,307	27,955
	114,569	**173,089**

11 Finance cost

	2025	2024
	₦'000	₦'000
Interest on loans	1,790,612	1,508,126
Treasury expenses*	1,385,789	492,507
Lease interest expenses	63,502	5,173
	3,239,903	**2,005,806**
Loss on unrealized foreign currency revaluation	1,381	24,629
	3,241,284	**2,030,435**

*Treasury expenses relates to finance costs paid to the parent company, UAC of Nigeria PLC in respect of funding support provided to the Company to augment its working capital requirements.

12 (Loss)/Profit before taxation

(Loss)/profit before taxation is stated after charging:

		2025	2024
		₦'000	₦'000
Amortisation of intangible assets	13(i)	57,597	52,648
Depreciation	13	306,127	207,195
Auditors remuneration	8(iii)	38,613	36,213
Staff cost	8(i,ii,iii)	1,457,917	1,475,752

Notes to the Financial Statements - Continued

For the period ended 31 December 2025

13 Depreciation

		2025	2024
		₦'000	₦'000
Cost of sales	8(i)	261,358	169,455
Selling and distribution expenses	8(ii)	23,796	18,556
Administrative expenses	8(iii)	20,973	19,184
		306,127	**207,195**

This relates to depreciation charged on property, plant and equipment and right-of-use assets.

(i) Amortisation of intangible assets

		2025	2024
		₦'000	₦'000
Cost of sales	8(i)	108	108
Administrative expenses	8(iii)	57,489	52,648
		57,597	**52,756**

14 Taxation

(i) Income tax expense

The tax charge for the year has been computed after adjusting for certain items of expenditure and income, which are not deductible or chargeable for tax purposes, and comprises:

	2025	2024
	₦'000	₦'000
Current tax		
Company income tax	-	727,910
Education tax charge	-	112,197
Prior year under provision*	-	126,855
Nigeria Police Trust Fund Levy	-	142
	-	967,104
Deferred tax:		
Relating to origination and reversal of temporary differences	54,183	**(54,183)**
Income tax charge	**54,183**	**912,921**

*Prior year under provision is the additional company income tax liabilities resulting from the Nigeria Revenue Service (NRS) tax audit exercise covering 2012-2021 accounting years.

Notes to the Financial Statements - Continued
For the period ended 31 December 2025

14 Taxation - continued

(ii) Reconciliation of the effective tax rate

	2025 ₦'000	%	2024 ₦'000	%
(Loss)/Profit before minimum tax	(2,752,805)		2,847,352	
Income tax using statutory tax rate	(825,840)	30	854,206	30
Education tax at 3% of assessable profit	(82,584)	3	85,421	3
Effect of income that is exempt from taxation	(177)	-	(152)	-
Non deductible expenses	10,843	-	80,634	3
Impact of TET on unrelieved loss	73,918	(3)	-	-
Effect of changes in tax rate	(2,195)	-	-	-
Derecognition of previously recognised deductible temporary differences	54,183	(2)	-	-
Current year tax losses for which no deferred tax assets is recognized	739,183	(27)	-	-
Current year temporary differences for which no deferred tax assets is recognized	86,853	(3)	-	-
Recognition of previously unrecognised tax losses	-	-	(187,969)	(8)
Prior year under provision	-	-	126,855	4
Police trust fund	-	-	142	-
Recognition of previously unrecognised deductible temporary differences	-	-	(46,216)	(2)
Income tax recognised in profit or loss	**54,183**	**(2)**	**912,921**	**30**

Deferred tax

	Property, plant and equipment ₦'000	Employee benefits ₦'000	Provisions ₦'000	Exchange Difference ₦'000	Leases ₦'000	Total ₦'000
At 1 January 2024	-	-	-	-	-	-
Charged to profit or loss	165,285	(68,766)	(238,988)	1,098	87,188	(54,183)
At 31 December 2024	**165,285**	**(68,766)**	**(238,988)**	**1,098**	**87,188**	**(54,183)**
At 1 January 2025	165,285	(68,766)	(238,988)	1,098	87,188	(54,183)
Charged to profit or loss	(165,285)	68,766	238,988	(1,098)	(87,188)	54,183
At 31 December 2025	**-**	**-**	**-**	**-**	**-**	**-**

	2025 ₦'000	2024 ₦'000
Deferred tax reflected in the statement of financial position as follows:		
Deferred tax assets	-	**(54,183)**
Deferred tax assets	-	**(54,183)**

The deferred tax assets and liabilities have been presented as net in the statement of financial position.

Notes to the Financial Statements - Continued

For the period ended 31 December 2025

14 Taxation - continued

(iii) Current tax liabilities

	2025 ₦'000	2024 ₦'000
As of 1 January	840,249	116,222
Income tax expense for the year	-	967,104
Minimum tax	189,974	-
Payment during the year	(821,759)	(243,077)
As at 31 December	**208,464**	**840,249**

(iv) Minimum tax

The Company has been assessed for tax on minimum tax basis as there was no assessable profit as at year end. Company income tax was greater in 2024 hence the reason why income tax was recognised in 2024 and minimum tax was not recognised. Minimum tax has been computed based on 0.5% of turnover in line with the Finance Act 2021. The minimum tax for the year is ₦189.97 million (2024: Nil).

(v) Unrecognised deferred tax assets

Deferred tax assets have not been recognised in respect of the following items, because it is not probable that future taxable profit will be available against which the Company can use the benefits therefrom.

	2025		2024	
in thousands of naira	**Gross amount**	**Tax effect**	**Gross amount**	**Tax effect**
Deductible temporary differences	285,435	86,853	-	-
Tax losses	2,463,943	739,183	-	-

15 Earnings per share (EPS)

Basic EPS is calculated by dividing the profit for the year attributable to ordinary equity holders by the weighted average number of ordinary shares outstanding during the year.

Diluted EPS is calculated by dividing the profit attributable to ordinary equity holders by the weighted average number of ordinary shares outstanding during the year adjusted for any dilutive or potentially dilutive instruments.

The following table reflects the income and share data used in the basic and diluted EPS calculations:

	2025 ₦'000	2024 ₦'000
(Loss)/earnings attributable to ordinary equity holders for basic earnings	(2,996,962)	1,934,431
(Loss)/earnings attributable to ordinary equity holders for diluted earnings	(2,996,962)	1,934,431
	Thousands	**Thousand**
Average number of ordinary shares for basic EPS	2,999,999	2,999,999
Basic (loss)/earnings per share (Kobo)	(99.90)	64.48
Average number of ordinary shares for diluted EPS	2,999,999	2,999,999
Diluted (loss)/earnings per share (Kobo)	(99.90)	64.48

There has been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of authorisation of these financial statements.

Notes to the Financial Statements - Continued
For the period ended 31 December 2025

16(a) Property, plant and equipment

	Building	Machinery & Equipment	Motor Vehicles	Office Equipment	Computer equipment	Capital work in progress	Total
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Cost							
1 January 2024	**287,312**	**1,424,968**	**176,593**	**64,216**	**86,996**	**471,032**	**2,511,117**
Additions	-	-	-	-	-	795,835	795,835
Disposal	-	-	(44,750)	(418)	-	-	(45,168)
Reclassification	12,097	134,310	120,122	7,890	39,448	(313,867)	-
31 December 2024	**299,409**	**1,559,278**	**251,965**	**71,688**	**126,444**	**953,000**	**3,261,784**
Additions	-	-	-	-	-	394,134	394,134
Reclassification	7,197	152,813	162,391	8,996	37,388	(368,786)	-
Disposal	-	-	(10,418)	(262)	(1,264)	-	(11,944)
Transfers in/(out)	-	-	-	-	-	(23,323)	(23,323)
31 December 2025	**306,606**	**1,712,091**	**403,938**	**80,422**	**162,568**	**955,025**	**3,620,651**
Accumulated depreciation							
1 January 2024	**162,932**	**965,837**	**124,588**	**47,254**	**59,598**	**-**	**1,360,209**
Depreciation charge for the year	9,371	125,769	39,430	7,061	21,402	-	203,033
Disposal	-	-	(44,750)	(418)	-	-	(45,168)
31 December 2024	**172,303**	**1,091,606**	**119,268**	**53,897**	**81,000**	**-**	**1,518,074**
Depreciation charge for the year	9,545	132,093	76,550	8,614	29,398	-	256,200
Disposal	-	-	(10,418)	(262)	(1,264)	-	(11,944)
31 December 2025	**181,848**	**1,223,699**	**185,400**	**62,249**	**109,134**	**-**	**1,762,330**
Net book value							
1 January 2024	**124,380**	**459,131**	**52,005**	**16,962**	**27,398**	**471,032**	**1,150,908**
31 December 2024	**127,106**	**467,672**	**132,697**	**17,791**	**45,444**	**953,000**	**1,743,712**
31 December 2025	**124,758**	**488,392**	**218,538**	**18,173**	**53,434**	**955,025**	**1,858,321**

Notes to the Financial Statements - Continued
For the period ended 31 December 2025

16(a) Property, plant and equipment - continued

There was no existence of restrictions on the title to the Company's Property plant and equipment. No asset was pledged as securities for liabilities during the year (2024: Nil). No contractual commitment on any of the Company's Property, plant and equipment.

16(b) Reconciliation of PPE Additions to statement of cashflows

	2025	**2024**
	₦'000	**₦'000**
Additions during the year	394,134	795,835
Transfers out	(23,323)	-
Additions recognized in statement of cashflows	**370,811**	**795,835**

16(c) Capital Work-in-Progress (CWIP)

Capital Work in Progress (CWIP) represents the cost of items of property, plant and equipment that have been acquired but are not yet available for their intended use. These assets are not depreciated while in CWIP. Once the asset is installed, commissioned, or otherwise ready for use, the accumulated cost is transferred from CWIP to the appropriate class of property, plant and equipment, after which depreciation begins in accordance with the entity's depreciation policy.

Analysis of Capital WIP into asset classes:

	2025	**2024**
	N'000	**N'000**
Buildings	868,188	743,187
Machinery and Equipment	58,239	89,119
Computer Hardware	28,598	38,444
Motor Vehicle	-	82,250
	955,025	**953,000**

17 Intangible assets

Computer software with definite useful life	**2025**	**2024**
	₦'000	**₦'000**
Cost:		
At 1 January	275,833	275,833
Additions	14,848	-
At 31 December	**290,681**	**275,833**
Amortisation		
At 1 January	131,051	78,295
Amortisation	57,597	52,756
At 31 December	**188,648**	**131,051**
Carrying value	**102,033**	**144,782**

Computer software consists of acquisitions costs of software used in the day-to-day operations of the Company.

The Company had no capital commitments as at 31 December 2025 (2024: Nil). There were no capitalized borrowing costs related to the acquisition of intangibles assets during the year (2024: Nil).

There are no restrictions on the Company's title to its intangible assets. All intangible assets items are non-current. There are no impairment losses for the year (2024:Nil).

18 Inventories

	2025	**2024**
	₦'000	**₦'000**
Raw materials	4,967,278	17,638,468
Packaging materials	925,298	801,061
Finished goods	387,130	339,488
Veterinary drugs	70,697	248,597
Engineering spares	337,174	268,663
Diesel	34,206	36,120
	6,721,783	**19,332,397**

Changes in inventories in the statement of cashflows	**2025**	**2024**
	₦'000	**₦'000**
Inventories at 1 January	19,332,397	9,598,916
Inventories at 31 December	6,721,783	19,332,397
	12,610,614	**(9,733,481)**

During the year, there was a write down of raw materials amounting to ₦1.9 billion (2024: Nil), In addition, the Company recognised ₦33.43 billion (2024:₦34 billion) as an expense for inventories carried at net realisable value. These are recognised in the cost of sales (Note 8(i)).

Notes to the Financial Statements - Continued
For the period ended 31 December 2025

19 Trade and other receivables

	2025 ₦'000	2024 ₦'000
Receivables from third-party customers	224,297	114,750
Allowance for expected credit losses	(161,569)	(97,953)
	62,728	16,797
Related parties receivables (Note 29)	18,629	59,211
Other receivables	18,502	18,296
	99,859	**94,304**
Advance payments to suppliers*	13,150	58,316
	113,009	**152,620**
Refund asset**	8,153	5,616
	121,162	**158,236**

Trade receivables are non-interest bearing and are generally on terms of 90 days. For terms and conditions relating to related party receivables, refer to Note 29.

*Advance payments to suppliers relates to cash deposit to the suppliers of raw materials used in production of animal feeds.

**The corresponding adjustment to cost of sales for the asset recognized relating to sale with the right to return has been recorded in other expenses.

Due to the short-term nature of the current receivables, their carrying amount is assumed to approximate their fair value (see note 33). Set out below is the movement in the allowance for expected credit losses of trade and other receivables:

	2025 ₦'000	2024 ₦'000
As at 1 January	(97,953)	(132,030)
During the year	(63,616)	34,077
At 31 December	**(161,569)**	**(97,953)**

The information about the credit exposures are disclosed in Note 33.

Changes in trade and other receivables in the statement of cashflows	2025 ₦'000	2024 ₦'000
Trade and other receivables at 1 January	256,189	1,746,073
Trade and other receivables at 31 December	282,731	256,189
	(26,542)	**1,489,884**
Bad debt written off	-	(34,077)
Impairment of trade receivables	(63,616)	-

Refund assets

Right of return asset represents the Company's right to recover the goods expected to be returned by customers. The asset is measured at the former carrying amount of the inventory, less any expected costs to recover the goods, including any potential decreases in the value of the returned goods. The Company updates the measurement of the asset recorded for any revisions to its expected level of returns, as well as any additional decreases in the value of the returned products.

	2025 N'000	2024 N'000
As at 1 January	5,616	5,616
Amount deferred as a result of unexpired rights	8,153	5,616
Cost of sales recognized in the period from:		
Expired right not exercised	(5,616)	(5,616)
As at 31 December	**8,153**	**5,616**

20 Prepayments

Due within one year:	2025 ₦'000	2024 ₦'000
Others*	95,020	116,542
Short-term lease prepayments**	43,962	43,567
Insurance	89,629	89,562
	228,611	**249,671**
Due within 2-3 years:	**₦'000**	**₦'000**
Others*	8,252	-
	8,252	**-**

*Others relates to SAP licence fee, internet services, generator maintenance and training etc during the year.

Notes to the Financial Statements - Continued
For the period ended 31 December 2025

20 Prepayments - continued

****Short-term lease prepayments**
These were lease payments for Warehouse made during the year for a lease period of one year. The Company's obligations under its leases are secured by the lessor's title to the leased assets. The Company applies the short-term lease recognition exemption for these Short-term leases are those including extension options reasonably certain to be exercised, with a total term of 12 months or less. Contracts that were in existence at the transition date, 1 January 2019, are assessed as short-term leases based on the transition date. All other contracts are assessed as short-term leases based on the contract start date.

Changes in prepayments in the statement of cashflows	**2025**	**2024**
	₦'000	**₦'000**
Prepayments at 1 January	249,671	132,365
Prepayments at 31 December	236,863	249,671
	12,808	**(117,306)**

21 Right of Use assets

	Building
	₦'000
Cost:	
At 1 January 2024	**-**
Additions	499,281
At 31 December 2024	**499,281**
At 1 January 2025	**499,281**
Additions	-
At 31 December 2025	**499,281**
Accumulated depreciation	
At 1 January 2024	**-**
Charge for the year	4,161
At 31 December 2024	**4,161**
At 1 January 2025	**4,161**
Charge for the year	49,928
At 31 December 2025	**54,089**
Carrying amounts:	
At 1 January 2024	**-**
At 31 December 2024	**495,120**
At 31 December 2025	**445,192**

In 2024, the Company entered into a lease agreement with Northern Rice and Oil Mill for the factory and equipment, with a lease term of ten years. The lease is scheduled to expire on 30 November 2034.

22 Cash and cash equivalents

	2025	**2024**
	₦'000	**₦'000**
Cash on hand	5	20
Cash at bank	633,842	1,190,638
	633,847	**1,190,658**

23 Other financial assets (unclaimed dividend funds)

	2025	**2024**
	₦'000	**₦'000**
Unclaimed dividend funds*	17,283	17,283
	17,283	17,283

*Other financial assets relates to 90% of unclaimed dividend returned by the registrar of the Company. The amount is placed in a fixed deposit account by the Company. This is in compliance with the directives of the Nigeria Securities and Exchange Commission. During the year, the interest earned on the unclaimed dividend funds was ₦9.6million (2024:₦7.5million)

Notes to the Financial Statements - Continued
For the period ended 31 December 2025

23 Other financial assets (unclaimed dividend funds) - continued

Interest Income earned on Unclaimed dividend funds till date

	2025	2024
	₦'000	**₦'000**
Interest earned	9,609	7,493
	9,609	**7,493**

For the purpose of the statement of cash flows, cash and cash equivalents comprise cash on hand, cash at bank and call deposit as included below.

	2025	2024
	₦'000	**₦'000**
Cash on hand, cash at bank and call deposit*	633,847	1,190,658

*Call deposits are made for varying periods of between one month and three months depending on the immediate cash requirements of the Company, and earn interest at the respective short-term deposit rates.

All bank balances are assessed to have low credit risk at each reporting date as they are held with reputable banking institutions with good credit rating by rating agencies. Therefore no amount of impairment loss is recognised as at year end (2024: Nil)

24 Issued capital and reserves

	2025	2024
	₦'000	**₦'000**
Ordinary shares issued and fully paid		
2,999,999,418 ordinary shares of 50kobo each	1,500,000	1,500,000
At 1 January	693,344	693,344
At 31 December	**693,344**	**693,344**

25 Trade and other payables

	2025	2024
	₦'000	**₦'000**
Trade payables	665,187	3,618,425
Related parties (Note 29)	7,368,923	105,730
Other payables (Note 25(i))	677,824	1,259,696
	8,711,934	**4,983,851**
Refund liabilities (Note 25(ii))	8,195	6,240
	8,720,129	**4,990,091**

Changes in trade and other payables in the statement of cashflows	2025	2024
	₦'000	**₦'000**
Trade and Other Payables at 1 January	4,990,091	1,530,895
Treasury expenses (Note 10)	1,385,789	-
Trade and Other Payables at 31 December	8,720,129	4,990,091
	2,344,249	**3,459,196**

Terms and conditions of the above financial liabilities:
• Trade payables are non-interest bearing and are normally settled on 60-day terms
• Other payables are non-interest bearing and have an average term of six months
• For terms and conditions with related parties, refer to Note 29

For explanations on the Company's liquidity risk management processes, refer to Note 33

25(i) Other payables

	2025	2024
	₦'000	**₦'000**
Value added tax payable	746	2,277
Accrued liabilities	632,114	1,175,262
Withholding tax payable	21,885	56,228
Pay-as-you-earn payable	10,867	15,141
Industrial training fund payable	12,147	10,709
Pension	65	79
	677,824	**1,259,696**

Notes to the Financial Statements - Continued
For the period ended 31 December 2025

25 Trade and other payables - continued

25(ii) Refund liabilities

Refund liabilities	8,195	6,240
	8,195	**6,240**

(i) Refund liabilities

A refund liability is the obligation to refund some or all of the consideration received (or receivable) from the customer and is measured at the amount the Company ultimately expects it will have to return to the customer. The Company updates its estimates of refund liabilities (and the corresponding change in the transaction price) at the end of each reporting period. Refer to accounting policy on variable consideration. See breakdown of refund analysis below:

	2025 ₦'000	2024 ₦'000
As at 1 January	6,240	6,240
Amount deferred as a result of unexpired rights	8,195	6,240
Revenue recognized in the period from:		
Expired right not exercised	(6,240)	(6,240)
As at 31 December	**8,195**	**6,240**

Net refund liabilities consist of the following at December 31:

(In thousands of naira)	**2025**	**2024**	**Change**	**Change**
Refund assets	8,153	5,616	2,537	45%
Refund liabilities	(8,195)	(6,240)	(1,955)	31%
Net refund liabilities	**(42)**	**(624)**	**582**	**-93%**

26 Lease Liability

	2025 ₦'000	2024 ₦'000
Opening balance	230,917	-
Addition during the year	-	499,282
Lease interest expenses	63,502	5,173
Lease principal paid during the year	-	(268,365)
Lease interest paid during the year	-	(5,173)
	294,419	230,917
Splitting into Current and Non-Current		
Current	80,965	63,502
Non-Current	213,454	167,415
	294,419	230,917

This relates to lease liability on Northern Rice and Oil Mill factory & equipments. See Note 21 for details
There was no lease repayment during the year (2024: ₦273.54 million).

i Amount recognised in profit or loss

	2025 ₦'000	2024 ₦'000
Interest on lease liablities	63,502	5,173

ii Amounts recognised in statement of cash flows

	2025 ₦'000	2024 ₦'000
Total cash outflow for leases	-	(273,538)

The table below shows the maturity analysis of lease liabilities based on undiscounted contractual payments:

	2025 ₦'000	2024 ₦'000
Year 1	-	-
Year 2	-	-
Year 3	300,000	-
Year 4	-	300,000
Year 5	-	-
Later than five years	400,000	400,000
Total undiscounted lease payments	**700,000**	**700,000**
Less future finance charges	(405,581)	(469,083)
Lease liability (present value)	**294,419**	**230,917**

27 Dividend payable

Amounts recognised as dividend payable to ordinary shareholders in the year comprise:

	2025 ₦'000	2024 ₦'000
As at 1 January	(17,384)	(17,384)
As at 31 December	**(17,384)**	**(17,384)**

Notes to the Financial Statements - Continued
For the period ended 31 December 2025

28 Loans and borrowings
Loans and borrowings consists of loans from commercial banks

a) Reconciliation of loans and borrowings		2025	2024
Borrowings -Current		**₦'000**	**₦'000**
Commercial loan - First Bank of Nigeria Limited (FBN)		-	7,317,367
Commercial loan - Zenith bank Pc		-	6,396,984
		-	**13,714,351**
As at 1 January		13,714,351	10,261,726
Additions		10,810,146	16,454,939
Interest charged on loans	11	1,790,612	2,000,632
Principal repayments		(24,090,608)	(13,205,754)
Interest repayments		(2,224,501)	(1,797,192)
As at 31 December		**-**	**13,714,351**
Maturity			
0 - 1 year		-	13,714,351
Total		**-**	**13,714,351**

Loans and borrowings include the following:

The loan addition during the year is made up of ₦9.55 billion from Zenith bank (at 30% interest rate for 90 days) and ₦1.26 billion from First Bank (at 32% interest rate for 270 days). Obligations with Zenith and First bank have been fully settled as at year end.

29 Related party transactions
The Company's related parties consist of companies in whom the parent company has shareholding and similar interests (its subsidiaries, employee post-employment plan, associates & joint venture partners), their key management personnel and their close family members, the key management personnel of the Company and their close family members and all other entities that are directly or indirectly controlled by the Company.

The immediate and ultimate parent, as well as controlling party of the Company is UAC of Nigeria PLC incorporated in Nigeria. There are other companies that are related to Livestock Feeds Plc through common shareholdings and directorship. The following table provides the total amount of transactions that have been entered into with related parties during the year.

Related party disclosures

		Transaction values				Balance outstanding	
	Relationship	**Management service fees***	**Purchases from related parties**	**Sales to related parties**	**Advance from related parties**	**Amounts owed by related parties**	**Amounts owed to related parties**
As at 31 December 2025		**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Entity with control over the Company:							
UAC of Nigeria PLC	Parent Company	404,585	-	-	7,286,773	18,629	7,286,773
Other related party							
UAC Foods Ltd	Fellow Subsidiary	-	-	-	-	-	-
CAP PLC	Fellow Subsidiary	-	-	-	-	-	-
Grand Cereals Nigeria Limited	Fellow Subsidiary	-	95,747	194,229	-	-	82,150
		404,585	**95,747**	**194,229**	**7,286,773**	**18,629**	**7,368,923**
As at 31 December 2024							
Entity with control over the Company:							
UAC of Nigeria Plc	Parent Company	427,013	-	-	-	59,211	-
Other related party:							
UAC Foods Ltd	Fellow Subsidiary	-	-	-	-	-	-
CAP PLC	Fellow Subsidiary	-	-	-	-	-	-
Grand Cereals Nigeria Limited	Fellow Subsidiary	-	777,886	1,947,390	-	-	105,730
		427,013	**291,355**	**1,947,390**	**-**	**59,211**	**105,730**

*This is inclusive of other fees such as the technical hub fees, medical retainer, allocated IT related costs and other shared costs.

Included in Note 34(iii) are details of transactions the Company had with Key Management Personnel during the year.

Terms and conditions of transactions with related parties
The sales to and purchases from related parties are made on terms equivalent to those that prevail in arm's length transactions. Outstanding balances at the year-end are unsecured and settlement occurs in cash. There have been no guarantees provided or received for any related party receivables or payables.

30 Commitments
The directors are of the opinion that all known liabilities and commitments which are relevant in assessing the state of affairs of the Company have been taken into consideration in the preparation of these financial statements.

Notes to the Financial Statements - Continued
For the Period ended 31 December 2025

31 Legal claims and contingencies
There is no contingent liability arising as a result of litigation as at year end (2024: Nil).

32 Financial assets and financial liabilities

Financial assets	**2025**	**2024**
	₦'000	**₦'000**
Cash and cash equivalents (Note 22)	633,847	1,190,658
Trade and other receivables (Note 19)	99,859	94,304

Financial liabilities	**2025**	**2024**
Financial liabilities at amortised cost	**₦'000**	**₦'000**
Borrowings (Note 28)	-	(13,714,351)
Trade and other payables (Note 25)	(8,720,129)	(4,983,851)

Trade and other payables here exclude VAT and withholding tax payable

33 Fair values
The carrying value of all financial assets and financial liabilities is a reasonable approximation of their fair value due to their current nature and the consequent insignificance of discounting no further fair value disclosures have been made.

The Company's principal financial liabilities comprise trade and other payables and Borrowings. The main purpose of these financial liabilities is to finance the Company's operations. The Company's principal financial assets include trade receivables, and cash and cash equivalents that it derives directly from its operations.

The Company is exposed to market risk, credit risk and liquidity risk. The Company's senior management oversees the management of these risks. The Company's senior management is supported by the audit and governance committee of the Board that advises on risks and the appropriate risk governance framework for the Company. The audit and governance committee of the Board provides assurance to the Company's senior management that the Company's financial risk activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with the Company's policies and risk objectives. The Board of Directors reviews and agrees policies for managing each of these risks, which are summarised below.

Risk	Exposure arising	Measurement	Management
Market risk – foreign exchange	Future commercial transactions Recognised financial assets and liabilities not denominated in Naira units	Cash flow forecasting Sensitivity analysis	Monitors the movement in foreign currencies on an ongoing basis and takes appropriate actions as necessary.
Market risk – interest rate	All financial statements have fixed interest rates, therefore there is no material exposure to interest rate risk.	Not Applicable	Not Applicable
Credit risk	Cash and cash equivalents, Trade receivables.	Aging analysis Credit ratings	Diversification of bank deposits, credit limits and letters of credit. Investment guidelines and held-to-maturity investments.
Liquidity risk	Borrowings and other liabilities		Availability of committed credit lines and borrowing facilities.

Notes to the Financial Statements - Continued
For the Year ended 31 December 2025

33 Fair values - continued

31 December 2025	Carrying Amount	Fair Values Level 1	Level 2	Level 3
	₦'000	₦'000	₦'000	₦'000
Financial assets at amortised cost				
Trade and other receivables - Note 19	142,570	-	142,570	-
Cash and Cash equivalents - Note 22	633,847	-	633,847	-
	776,417	**-**	**776,417**	**-**
Financial liabilities at amortised cost				
Lease liabilites - Note 26	294,419	-	294,419	-
Trade and other payables - Note 25	8,666,224	-	8,666,224	-
Loans and borrowings - Note 28	-	-	-	-
	8,960,643	**-**	**8,960,643**	**-**

31 December 2024	Carrying Amount	Fair Values Level 1	Level 2	Level 3
	₦'000	₦'000	₦'000	₦'000
Financial assets at amortised cost				
Trade and other receivables - Note 19	94,304	-	94,304	-
Cash and Cash equivalents - Note 22	1,190,658	-	1,190,658	-
	1,284,962	**-**	**1,284,962**	**-**
Financial liabilities at amortised cost				
Lease liabilites - Note 26	230,917	-	230,917	-
Trade and other payables - Note 25	4,899,417	-	4,899,417	-
Loans and borrowings - Note 28	13,714,351	-	13,714,351	-
	18,844,685	**-**	**18,844,685**	**-**

Carrying amount approximates fair value because instruments are short-term.

Notes to the Financial Statements - Continued
For the Year ended 31 December 2025

33 Fair values - continued

Financial instruments risk management objectives and policies

Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in foreign exchange rates. The Company's exposure to the risk of changes in foreign exchange rates relates primarily to the Company's operating activities (when revenue or expense is denominated in a foreign currency). The Company's exposure to foreign currency risk at the end of the reporting period expressed in the individual foreign currency unit was as follows:

	2025			2024		
	$'	€'	£'	$'	€'	£'
Financial Assets						
Cash and Cash Equivalent	1,758	379	450	1,885	379	450
Financial Liabilities	-	-	-	-	-	-
Net exposure	**1,758**	**379**	**450**	**1885**	**379**	**450**

The following significant exchange rate were applied during the year:

	Average Rate during the		Reporting date spot rate	
	2025	**2024**	**2025**	**2024**
	₦	**₦**	**₦**	**₦**
US$ 1	1,511.60	1,473.81	1,439.93	1,538.25
Euro (€) 1	1,712.92	1,595.03	1,692.78	1,597.93
GBP	1,994.40	1,884.92	1,939.87	1,928.50

Foreign currency sensitivity

The following tables demonstrate the sensitivity to a reasonably possible change in USD, EURO and GBP exchange rates, with all other variables held constant. The impact on the Company's profit before tax is due to changes in the fair value of monetary assets and liabilities.

	Profit or loss	Equity, net of tax
Effect in thousands of Naira		
31 December 2025		
USD (20% movement)	(506,279)	(354,395)
Euro (20% movement)	(128,313)	(89,819)
GBP (20% movement)	(174,588)	(122,212)
31 December 2024		
USD (20% movement)	(579,920)	(405,944)
Euro (20% movement)	(121,123)	(84,786)
GBP (20% movement)	(173,565)	(121,496)

Notes to the Financial Statements - Continued
For the Year ended 31 December 2025

33 Fair values - continued
Financial instruments risk management objectives and policies - continued
Foreign currency sensitivity - continued

A 20% strengthening of the Naira against the US Dollar, Euro and Great British Pounds would have had the equal but opposite effect to the respective amounts shown above, on the basis that all other variables remain constant.

Interest risk rate

Interest rate risk comprises interest price risk that results from borrowings at fixed rates and the interest cash flow risk that results from borrowings at variable rates. The Board of Directors is responsible for setting the overall duration and interest management targets. The Company's objective is to manage its interest rate exposure through careful borrowing profiling and use of heterogeneous borrowing sources.

The interest rate profile of the Company's interest-bearing financial instruments as at year end is as follows:

	2025	2024
	₦'000	₦'000
Fixed rate instruments		
Commercial loans	-	13,714,351
	-	**13,714,351**

Liquidity risk

Prudent liquidity risk management implies maintaining sufficient cash and cash equivalents and the availability of funding through an adequate amount of committed credit facilities to meet obligations when due and to close out market positions.

Management monitors rolling forecasts of the Company's liquidity reserve and cash and bank balances (Note 22) on the basis of expected cash flows.

This is generally carried out at each of the respective mills in accordance with practice and limits set by the Company. These limits vary to take into account the liquidity of the market in which the entity operates. In addition, the Company's liquidity management policy involves projecting cash flows in major currencies and considering the level of liquid assets necessary to meet these, monitoring balance sheet liquidity ratios against internal and external regulatory requirements and maintaining debt financing plans.

Notes to the Financial Statements - Continued
For the Year ended 31 December 2025

33 Fair values - continued
Financial instruments risk management objectives and policies - continued
Liquidity risk
The table below summarises the maturity profile of the Company's financial liabilities based on contractual undiscounted payments:

31 December 2025

		Contractual cash flows		
	Carrying amount	**Less than 3months**	**3 to 12 months**	**above 12 months**
	₦'000	**₦'000**	**₦'000**	**₦'000**
Trade and other payables	8,720,129	8,720,129	-	-
Refund liabilities	8,195	8,195	-	-
Lease liabilities	294,419	-	80,965	213,454
	9,022,743	8,728,324	80,965	213,454

31 December 2024

		Contractual cash flows		
	Carrying amount	**Less than 3months**	**3 to 12 months**	**above 12 months**
	₦'000	**₦'000**	**₦'000**	**₦'000**
Trade and other payables	4,983,851	4,983,851	-	-
Refund liabilities	6,240	6,240	-	-
Lease liabilities	230,917	-	63,502	167,415
Loans and borrowings	13,714,351	9,917,905	3,796,447	-
	18,935,359	14,907,996	3,859,949	167,415

Credit risk
Credit risk arises from cash and cash equivalents and deposits with banks and financial institutions, as well as credit exposures to related parties and to customers, including outstanding receivables.

(i) Risk management

Credit risk is managed on a Company basis. For banks and financial institutions, only independently rated parties with a minimum national rating of 'A' are accepted.

There is no independent rating for customers. Risk control assesses the credit quality of the customer, taking into account its financial position, past experience and other factors. The compliance with credit limits by customers is regularly monitored by line management.

Notes to the Financial Statements - Continued
For the Year ended 31 December 2025

33 Fair values - continued
Financial instruments risk management objectives and policies- continued

Credit risk - continued

(i) Risk management - continued

Sales to customers are required to be settled in cash or using major credit cards, mitigating credit risk. There are no significant concentrations of credit risk, whether through exposure to individual customers, specific industry sectors and/or regions. The credit ratings of the investments are monitored for credit deterioration.

(ii) Security

No security is obtained for trade receivables either in the form of guarantees, deeds of undertaking or letters of credit which can be called upon if the counterparty is in default under the terms of the agreement. However, some customers are required to provide postdated cheques for credit transactions while others are granted credit on the strength of their credibility and past performances. In the case of default, unpaid balances are set off against security deposit while others are referred to debt collection agents.

The credit quality of financial assets that are neither past due nor impaired can be assessed by reference to external credit ratings (if available) or to historical information about counterparty default rates. There are no credit ratings for Livestock Feeds Plc trade and other receivables.

	2025 ₦'000	2024 ₦'000
Cash at bank and short-term bank deposits A+(nga)	651,125	1,190,638
Unrated cash and cash equivalents	5	20
Unrated trade and other receivables	142,570	94,304
Maximum credit exposure	**793,700**	**1,284,962**

(iii) Impairment of trade receivables

An impairment analysis is performed at each reporting date using a provision matrix to measure expected credit losses. The provision rates are based on days past due of various customer segments with similar loss patterns (i.e., by geographical region, product type and customer type). The calculation reflects the probability-weighted outcome, the time value of money and reasonable and supportable information that is available at the reporting date about past events, current conditions and forecasts of future economic conditions. Generally, trade receivables are written-off if past due for more than one year and are not subject to enforcement activity. The maximum exposure to credit risk at the reporting date is the carrying value of each class of financial assets disclosed in Note 33. The Company does not hold collateral as security. The Company evaluates the concentration of risk with respect to trade receivables as low, as its customers are located in several states, unrelated and diverse.

In assessing the Company's internal rating process, the Company's customers and counter parties are assessed based on a credit scoring model that takes into account various historical, current and forward-looking information such as:

Notes to the Financial Statements - Continued
For the Period ended 31 December 2025

33 Fair values - continued
Financial instruments risk management objectives and policies- continued
Credit risk - continued
Impairment allowance for financial assets - continued

Any publicly available information on the Company's customers and counter parties from Internal parties. This includes Internal rating grades issued by rating agencies, independent analyst reports, publicly traded bond or press releases and articles.

Any macro-economic or geopolitical information, e.g., GDP growth relevant for the specific industry and geographical segments where the customers operates.

Any other objectively supportable information on the quality and abilities of the client's management relevant for the Company's performance.

The Company monitors its risk of a shortage of funds using a liquidity planning tool.

Concentrations arise when a number of counterparties are engaged in similar business activities, or activities in the same geographical region, or have economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Company's performance to developments affecting a particular industry.

In order to avoid excessive concentrations of risk, the Company's policies and procedures include specific guidelines to focus on the maintenance of a diversified portfolio. Identified concentrations of credit risks are controlled and managed accordingly.

Set out below is the information about the credit risk exposure on the Company's trade and other receivables using a provision matrix:

	Days past due					
	Current	<90 days	90–180 days	180–360 days	>360 days	Total
31-Dec-25	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Expected credit loss rate	25%	60%	80%	90%	100%	
Estimated total gross carrying amount at default	53,018	46,222	1,926	34,345	88,786	224,297
Expected credit loss	(13,255)	(27,733)	(1,541)	(30,911)	(88,786)	(162,226)

	Current	<90 days	90–180 days	180–360 days	>360 days	Total
31-Dec-24	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Expected credit loss rate	35.01%	59.69%	70.03%	86.53%	100%	
Estimated total gross carrying amount at default	15,875	12,637	-	10,274	75,964	114,750
Expected credit loss	(5,556)	(7,543)	-	(8,890)	(75,964)	(97,953)

Notes to the Financial Statements - Continued
For the Period ended 31 December 2025

33 Fair values - continued
Financial instruments risk management objectives and policies- continued
Credit risk - continued
Impairment allowance for financial assets - continued

Set out below is the movement in the allowance for expected credit losses of trade receivables:

	2025 ₦'000	2024 ₦'000
Balance as at	(97,953)	(132,030)
Expected credit loss	(63,616)	-
Bad debt written off	-	34,077
Balance at 31 December	**(161,569)**	**(97,953)**

34 Staff numbers and costs
(i) Staff numbers and costs
The table below shows the number of employees (excluding directors), who earned emoluments in the year and were within the bands stated.

	2025 Number	2024 Number
Staff Numbers by function		
Direct	23	59
Admin	83	15
Sales & marketing	30	22
	136	**96**

	2025 Number	2024 Number
₦0-₦500,000	27	-
₦500,001-₦600,000	-	-
₦600,001-₦700,000	1	-
₦700,001-₦800,000	1	-
₦800,001-₦1,0000,000	4	-
₦1,000,001-₦1,200,000	5	1
₦1,200,001-₦1,300,000	1	-
₦1,300,001- ₦1,500,000	5	2
Above ₦1,500,000	92	97
	136	**100**

Staff costs for the above persons (excluding Non-Executive Directors):

	2025 ₦'000	2024 ₦'000
Salaries and wages	1,421,584	1,443,267
Pension cost	36,333	32,485
	1,457,917	**1,475,752**

(ii) Emoluments of Non-Executive Directors

	2025 ₦'000	2024 ₦'000
(a) Fees	6,000	1,050
Passage allowance	24,000	13,000
Sitting allowance	8,200	5,600
Other emoluments	8,740	16,167
	46,940	**35,817**
(b) The Chairman's emoluments	**16,000**	**3,850**

Notes to the Financial Statements - Continued

For the Period ended 31 December 2025

34 Staff numbers and costs - continued

(iii) Key management personnel compensation

Key management have been defined as the managing director and executive committee members

	2025 ₦'000	2024 ₦'000
Key management compensation includes:		
Short-term employee benefits:		
Wages and salaries - Managing Director	43,457	46,832
Wages and salaries - Executive Committee Members	133,655	120,588
	177,112	167,420

(iv) Other long term employee benefits

The movement in the Company's other long term employee benefits is shown below:

	2025 ₦'000	2024 ₦'000
Balance at 1 January	208,380	208,380
Additions during the year	300,000	-
At 31 December	**508,380**	**208,380**
Non-current	208,380	208,380
Current	300,000	**-**
	508,380	**208,380**

The Company has a 5-year long term incentive plan which commenced with effect from 2024 (Year 1). The benefit for 2025 has been discounted at 19.99% which represents the interpolated yield on government bonds that are due to mature on 31 December 2026.

35 Technical support agreements

The Company has commercial services agreement with UACN PLC for support services. Expense for management services fee (representing 1% of net turnover of the Company excluding intercompany sales to Grand Cereals Limited) is ₦375.7 million (2024: ₦427 million).

36 Events after the reporting period

There were no events after the reporting date that require adjustment in the financial statements of the Company that had not been adequately provided for or disclosed in the financial statements.

37 Securities trading policy

In compliance with Rule 17.15 Disclosure of Dealings in Issuers' Shares, Rulebook of the Exchange 2015 (Issuers Rule) Livestock Feeds Plc maintains a Security Trading Policy which guides Directors, Audit Committee members, employees and all individuals categorized as insiders as to their dealing in the Company's shares. The Policy undergoes periodic reviews by the Board and is updated accordingly. The Company has made specific inquiries of all its directors and other insiders and is not aware of any infringement of the policy during the period.

Notes to the Financial Statements - Continued
For the Period ended 31 December 2025

38 Provision of Audit and non-audit Services

In compliance with FRC Rule No 3 mandating the disclosure of the value and the nature of the audit and non-audit services provided by Company's external auditor, KPMG Professional Services. The Company engaged KPMG for the limited Assurance Engagement performed on Management's Assessment of Internal Control over Financial reporting which is a Non-Audit service. See Note 8(iii) for details.

39 Going Concern

The Company reported a loss after tax of ₦2.99 billion for the year ended 31 December 2025 and as at that date, the Company's current liabilities exceeded its current assets by ₦1.30 billion.

A significant portion of the Company's current liabilities amounting to ₦7.29 billion, representing 81% is due to its parent company, UAC of Nigeria Plc as disclosed in Note 29 of these financial statements.

UAC of Nigeria Plc has confirmed that it will not demand repayment for the amount due to it until such time as the Company is able to settle its obligations based on its cash flows.

Based on the foregoing, the Directors have a reasonable expectation that the Company will continue in operational existence for the foreseeable future and as such, realise its assets and settle its liabilities in the normal course of business. Accordingly, these financial statements have been prepared on the basis of accounting policies applicable to a going concern.

OTHER NATIONAL DISCLOSURES

Free Float Computation

Company Name:	Livestock Feeds Plc
Board Listed:	Main Board
Period End:	31 December
Reporting Period:	31 December
Share Price at end of reporting period:	₦6.05 (2024: ₦4.11)

Shareholding Structure/Free Float

	31-Dec-25		31-Dec-24	
Description	**Units**	**Percentage**	**Unit**	**Percentage**
Issued Share Capital	2,999,999,418	100%	2,999,999,418	100%
Substantial Shareholdings (5% and above)				
UAC of Nigeria Plc	2,198,745,772	73.29%	2,198,745,772	73.29%
Total Substantial Shareholdings	2,198,745,772	73.29%	2,198,745,772	73.29%
Directors' Shareholdings (direct and indirect)				
Mr. Joseph Dada	-	-	-	-
Mr. Adebolanle Badejo	-	-	-	-
Mr. Adegboyega Adedeji	-	-	-	-
Mrs. Chiamaka Uwaegbute	-	-	-	-
Mrs.Temitope Omodele	-	-	-	-
Mr Abayomi Adeyemi	-	-	-	-
Other Influential Shareholdings				
Total Other Influential Shareholdings				
Free Float in Units and Percentage	801,253,646	26.71%	801,253,646	26.71%
Free Float in Value (₦)	4,847,584,558		3,293,152,485	

Declaration:

(A) Livestock Feeds Plc with a free float percentage of 26.71% as at 31 December 2025 (2024:26.71%), is compliant with the Exchange's free float requirements for companies listed on the Main Board.

Value Added Statement
As at 31 December

	2025 ₦'000	%	2024 ₦'000	%
Revenue	37,764,577		41,669,570	
Other income	115,595		449,555	
Finance income	114,569		148,460	
	37,994,741		**42,267,585**	
Bought in materials				
- Foreign	(3,611,875)		(3,567,873)	
- Local	(32,506,874)		(32,110,852)	
Value added	**1,875,992**	**100**	**6,588,860**	**100**
Applied as follows:				
Employees				
Salaries and other labour related benefits	1,457,919	77	1,475,752	22
Lenders				
Interest expense	3,241,284	173	2,005,806	30
Government				
Company income tax	-	-	912,921	15
Minimum tax	(189,974)	(10)	-	-
Retained in the Business				
- Depreciation of property plant and equipment	256,200	14	203,033	3
- Depreciation of right of use assets	49,928	3	4,161	-
- Amortisation of intangible assets	57,597	3	52,756	1
- To (deplete)/augment reserves	(2,996,962)	(160)	1,934,431	29
	1,875,992	**100**	**6,588,860**	**100**

Five Year Financial Summary
As at 31 December 2025

Assets	**2025**	**2024**	**2023**	**2022**	**2021**
	N'000	**N'000**	**N'000**	**N'000**	**N'000**
Non-current assets	2,413,798	2,437,797	1,348,448	1,102,636	819,612
Current assets	7,722,686	20,948,245	12,028,018	6,355,069	10,008,123
Total assets	**10,136,484**	**23,386,042**	**13,376,466**	**7,457,705**	**10,827,735**
Equity					
Issued capital	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000
Share premium	693,344	693,344	693,344	693,344	693,344
(Accumulated deficit)/retained earnings	(1,805,636)	1,191,326	(743,105)	(513,087)	309,131
Total equity	**387,708**	**3,384,670**	**1,450,239**	**1,680,257**	**2,502,475**
Liabilities					
Non-current liabilities	721,834	375,795	-	-	42,004
Current liabilities	9,026,942	19,625,577	11,926,227	5,777,448	8,283,256
Total liabilities	**9,748,776**	**20,001,372**	**11,926,227**	**5,777,448**	**8,325,260**
Total equity and liabilities	**10,136,484**	**23,386,042**	**13,376,466**	**7,457,705**	**10,827,735**

Statement of Profit or Loss and Other Comprehensive Income

	2025	**2024**	**2023**	**2022**	**2021**
	N'000	**N'000**	**N'000**	**N'000**	**N'000**
Revenue	37,764,577	41,669,570	20,409,702	16,410,221	14,640,268
(Loss)/profit before minimum taxation	(2,752,805)	2,847,352	(126,758)	(781,392)	565,133
Minimum tax	(189,974)	-	(102,417)	(82,830)	(73,201)
(Loss)/profit before taxation	**(2,942,779)**	**2,847,352**	**(229,175)**	**(864,222)**	**491,932**
Taxation	(54,183)	(912,921)	(843)	42,004	(62,235)
(Loss)/profit for the year	**(2,996,962)**	**1,934,431**	**(230,018)**	**(822,218)**	**429,697**